



annual report 2014-15

Microfinance Institutions Network

mfin

annual report 2014-15





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President's Message



Dear Friends,

I have had the privilege of being part of the team led by visionary Vijay Mahajan since 2009 when 23 MFIs got together and set up Alpha to bring new discipline and direction to the microfinance sector. The first act was to contribute to a corpus of Rs. 2.5 crores and invest in High Mark in order to put in place credit bureau services for the sector. MFIN was formed in November 2009 with the main objective of establishing itself as a Self-Regulatory Organisation (SRO). Alok joined MFIN as CEO in July 2010. I had to fill in the big shoes of Vijay once he retired as President in July 2013. We have crossed many hurdles, weathered major storms, and achieved many of our key goals – separate NBFC-MFI Category; RBI regulations on responsible lending practices, through interaction with Malegam Committee; MFIN recognised as a SRO and; announcement of Small Finance Bank amongst others. It is now my turn to hang up my hat. We as an industry are at a height never before achieved in terms of our reach and recognition. But at the same time there are many major changes which are in progress. The rivers of financial inclusion are shifting course. It will be necessary for MFIN to re-invent itself to remain relevant.

Future of the Industry

Financial Inclusion in India is in a state of change. For the first time in the last decade, it is receiving real

attention and not mere lip service from the Central Government and the Reserve Bank of India (RBI). Prime Minister Modi has put financial inclusion at the top of the government's agenda with the spectacular launch of Jan Dhan Yojana, MUDRA Bank and the various insurance programmes. He has set a hectic pace; yet as a realist he realises that a comprehensive financial inclusion for the poor is likely to take 20 years - RBI's centenary year. The RBI under the leadership of Governor Raghuram Rajan has taken the pro-active step to launch two new types of banks to promote financial inclusion: the Small Finance Bank (SFB) and the Payment Bank. In addition the big elephant in the pack is the possible conversion of the Indian Post Office to a bank. The two new commercial banks: Bandhan and IDFC bank will also be major players in this space. RBI, based on the good track record set by MFIs after the crisis in 2010, has considerably liberalised the scope of business and permitted us to move to serve higher economic segments like micro- entrepreneurs currently not served by MFIs. One thing is for certain, the environment in which we operate and how we operate will completely change in the next few years. This is a problem of success!

Let us begin backwards – RBI's new guidelines to MFIs. The permitted loan sizes up to Rs. 1 lakh will require a different approach and skill set

than the traditional group lending. Those who make the transition to individual lending will succeed. The path may be littered with irresponsible lenders who take this as a license to grow their portfolio without making appropriate changes in the way they conduct the business. MFIN and Sa-dhan as SROs will need to play a key role in monitoring and guiding the Members appropriately.

Second, the SFB license. The MFIs have a head start to get these licenses despite 72 contenders in the initial line up. Seventeen NBFC-MFIs have applied. The MFIs have an advantage, as they already serve the same market segment. The Governor indicated to us that he would like to see the best MFIs get the license. However, successfully setting up a SFB is like winning a steeple chase race. The first hurdle is to obtain the provisional license. MFIs who are successful in the first phase, will need to restructure and raise domestic capital in order to obtain the final license after 18 months. The paucity of domestic capital and legal/regulatory hoops the organisation has to go through will pose the second major challenge.

Third, once the SFB's start operations, the biggest challenge will be converting the liability side of the balance sheet to conform to that of a bank and comply with the Cash reserve Ratio (CRR) and Statutory

Liquidity Ratio (SLR) requirements.

Finally, the business the SFB has to undertake, which is characterised by very high volumes, low transaction ticket sizes and customers requiring 'high touch' door step delivery will require radically different business models. SFBs will have to innovate using the latest technology and explore paths which have not been taken. How many of the 72 current contenders will establish and run successful SFBs in the long run is a big question. This is the grand test RBI is undertaking. It will have to start with the selection of the best candidates to take up this challenge. SFB is not for the faint hearted.

The MUDRA Bank is an excellent initiative to accelerate the process of financial inclusion by providing funding channelled to micro-entrepreneurs. Here again the MFIs have a head start. In order for this initiative to succeed it is important that the RBI's regulations for MFIs and Priority Sectors works hand-in-glove with the MUDRA initiative. There are challenges of pricing of loans in order for the business to become viable and also to ensure it is politically acceptable. The MUDRA card which is a good idea will provide working capital for micro entrepreneurs and will require high level of coordination between banks, MFIs and MUDRA. This is a game changing initiative but success will depend on coordination and

execution where all parties have a win-win situation.

The success of Jan Dhan Yojana and the insurance programmes will depend on the regular commercial banks' ability to service the vast number of customers effectively. The banks are not geared to do this type of business. The business will have to shift to the two new commercial banks, Post Office Bank and SFBs.

Conclusion:

I thank all the Members for reposing their faith in me for the last two years; the fellow Members of the Board for their invaluable contribution; all the success we achieved would not have been possible without the outgoing CEO – Alok Prasad and the entire MFIN Secretariat. I wish Ratna Viswanathan all the success as the new CEO. I am confident that MFIN will continue on the goal set by the Founder President, 'engines of inclusive growth'.

Yours truly,

Samit Ghosh
President

June 20th, 2015.



CEO's Message



Dear Friends,

On 5th December, 2014, MFIN celebrated its fifth anniversary. In India the number five or 'panch' is regarded as very special. Equally, in other cultures across the world this number holds tremendous significance - be it the five classical elements in Greek philosophy or the five core commandments in Buddhism or even the five rings in the Olympics logo.

MFIN's five year journey has mirrored the fortunes of the microfinance industry. The euphoria of the first nine months of 2010, the unrelenting gloom of 2011, the struggles of 2012, the feeling of hope in 2013, and finally, the success and smiles of 2014- 15. Looking back, in each of these years, something unusual happened for the industry. Each of these years held a defining 'moment' for the industry. Let

me do a listing of these defining moments.

- 2010 – The first IPO in the industry (and still the only).
- 2011 – Creation of the NBFC-MFI category by the Reserve Bank of India (RBI).
- 2012 – Introduction of the Microfinance Bill in Parliament.
- 2013 – Malegam Committee's recommendations fully implemented and industry firmly back on the growth path.
- 2014 – MFIN recognised as SRO by the RBI – a first ever in the financial services industry.
- 2015 – Small Finance Bank framework (and the MUDRA Bank announcement !)

It is almost as if the industry has within this short span of five years gone through the full karmic cycle of birth and rebirth.



The remarkable turn-around of the Industry is best evidenced by the following key metrics:

- As on 31st March 2015, NBFC-MFIs provided credit to over 3.05 crore clients
- The Industry Gross Loan Portfolio stood at Rs 40,138 crores
- Total number of NBFC-MFIs branches stood at 10,553 branches
- Insurance (credit life) provided to over 3.63 crore clients

During 2014-15, the industry not merely scaled new heights. It also gained much greater credibility with both the Government of India (GoI) and the RBI regarding MFIs as key players for promotion of the national financial inclusion agenda. The year also witnessed a number of systemically important developments. The final SFB

Guidelines were released by the RBI. A significant number of MFIs applied for the SFB license. The MUDRA Bank initiative got off the ground. The PMJDY Scheme gave a whole new meaning to financial inclusion with over 1.5 Cr basic banking accounts getting opened. Over the medium term, the impact of all of these developments is likely to be pretty dramatic - financial deepening, improved access to finance and greater efficiencies.

The MFIN Secretariat will strive to continuously evolve and adapt to the rapidly changing environment. It will strive to better serve its members and all other stakeholders in the financial inclusion space. It will strive to promote responsible finance.

Dr. Raghuram Rajan, the very distinguished Governor of the RBI in his opening remarks at the

Financial Inclusion Conference in Mumbai on 2nd April (celebrating RBI's 80th anniversary) said, ' Strong national institutions are hard to build. Therefore, existing ones should be nurtured from the outside, and constantly rejuvenated from the inside.....' As I step down as the CEO on the 30th June 2015, it is this observation of the Governor that I would regard as being of the highest criticality for MFIN.

To conclude, I would like to thank the Members, the Associates, the MFIN Board and the MFIN Secretariat team for the energy, the commitment, and the time given for making MFIN what it is today.

Alok Prasad
CEO

June 30th 2015



**Felicitating
Alok Prasad –
our outgoing
CEO**



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about
mfin



Microfinance Institutions Network is the industry for RBI regulated NBFC-MFIs and has positioned itself as an engine of inclusive growth for India. MFIN through its Members, helps provide financial services to low income households in a responsible and transparent manner, thereby helping them build sustainable livelihoods.



The Microfinance Industry

Microfinance in India started in the late 1980s in response to the gap in availability of banking services to the underserved and low income population. The majority of the institutions that forayed into this sector were from the social sector and hence the legal entities comprised of Trusts, Societies or Section 25 Companies. As the industry continued to grow, the non-profit form became a limiting factor in making these institutions sustainable and scalable. Based on the recommendations of the Report of the Reserve Bank of India (RBI) of the Malegam Committee, RBI created a new subset under Non Banking Finance Companies (NBFCs) for institutions specialising in microfinance called NBFC-MFIs. In the decade leading up to 2009, the NBFC-MFI model proved itself to be a viable and sustainable means of providing access to finance to meet the requirements of low income households. NBFC-MFIs have been playing a significant role in taking forward the financial inclusion agenda of the Government of India. What sets NBFC-MFIs apart is the fact that they do not depend on grants or subsidies to provide unsecured loans to people with low incomes and no access to the banking system. The industry has used market oriented solutions that encourage self-reliance and entrepreneurship amongst its clients. As on 31st March 2015, NBFC-MFIs have provided credit to over 3.05 crore low income clients pan India, with a total lending in excess of Rs. 40,000 crore.





Genesis

Microfinance Institutions Network (MFIN) was established in October 2009 under the Andhra Pradesh Societies Registration Act 2001. As per its bye-laws all financial institutions that are “substantially engaged in the business of microfinance” and are registered as NBFC-MFIs with the Reserve Bank of India, are eligible for Membership to MFIN. Structured as a Self-Regulatory Organisation (SRO) of the RBI regulated NBFC-MFIs, MFIN has been supporting an effective framework for responsible lending and client protection for the industry. MFIN works closely with regulators and other key stakeholders and plays an active part in the larger financial inclusion dialogue through the medium of microfinance.

VISION

To be an engine of inclusive growth for India and help provide financial services to 100 million low income households by the year 2020, in a responsible and transparent manner, thereby helping them build sustainable livelihoods.

OBJECTIVES

MFIN's primary objective is to work towards the robust development of the microfinance sector by promoting: responsible lending, client protection, good governance and a supportive regulatory environment.



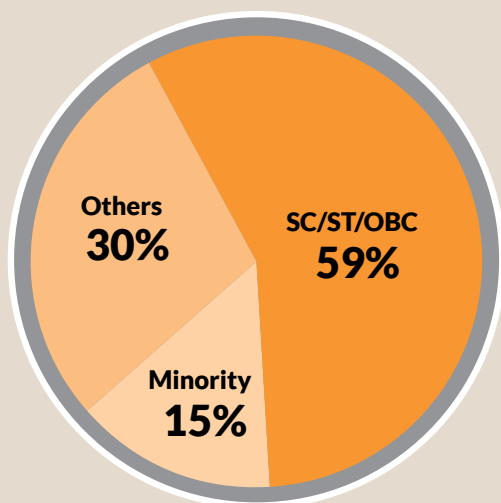
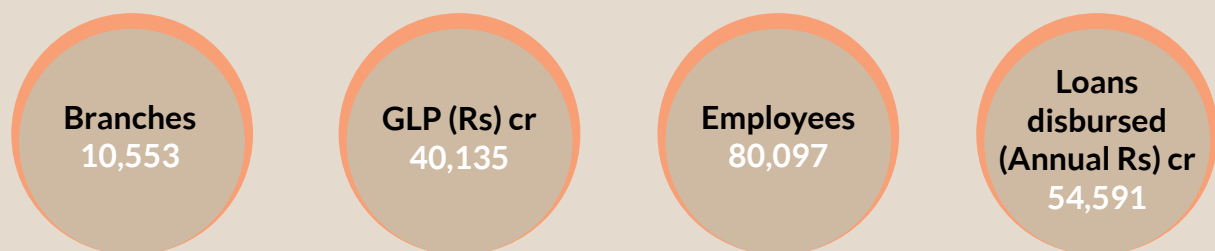
mfin Journey ...so far and looking forward



Membership

The membership of MFIN is open to RBI regulated, NBFC-MFIs. All applications for the new membership go through a well laid out process including an on-site due-diligence and Board review. As members, NBFC-MFIs become part of peer community that shapes the strategic directions of MFIN and the industry and subscribe to the industry Code of Conduct and other MFIN standards. Currently, MFIN has 45 members, diverse in size and geographic spread.

MFIN Members'- Consolidated Operations Overview (31st March 2015)



NBFC-MFIs primarily serve low income households, both rural & urban

99% Women clients

59% SC/ST/OBC

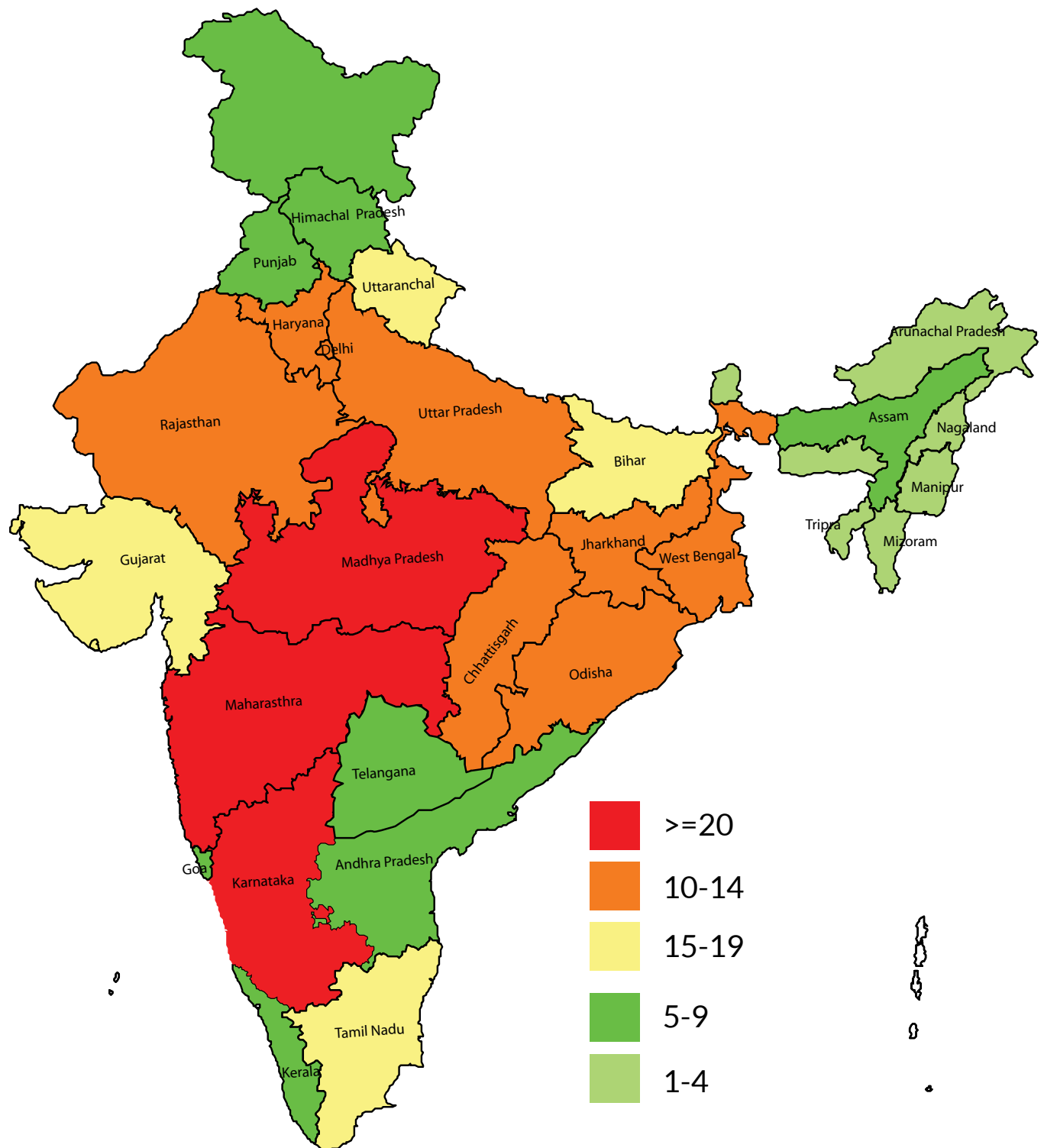
Microfinance Industry Serves Weakest Sections of the Society

Services offered:

-  Primarily microcredit
-  Micro-insurance, pension
-  Financial education
-  Livelihood service

Pan –India Presence of NBFC-MFIS

States / UTs - 32, Districts - 48



New Members

RGVN (North East) Microfinance Ltd.

RGVN (North East) Microfinance Ltd. a Public Limited Company, is a registered NBFC-MFI with a clear vision to serve the entire North Eastern region (impacting five lakh clients by the year 2017) and facilitate better access to health, education and livelihood opportunities. Headquartered in Guwahati, RGVN (NE) MFL, as on 31st March 2015, has a network of 104 branches in five North-eastern states of Assam, Arunachal Pradesh, Meghalaya, Nagaland and Sikkim.

Shikhar Microfinance Pvt. Ltd

Shikhar Microfinance Pvt. Ltd. is a Delhi based NBFC MFI having operations over four states (Delhi, Haryana, Uttar Pradesh and Uttarakhand) with 22 branches reaching out to 28, 100 clients.

Svatantra

Svatantra Microfin Pvt. Ltd is a NBFC MFI that helps its customers become economically self-sustainable by providing micro loans. Though it was established on 17th February, 2012 by Ananya Birla, Svatantra officially launched its activities on 1st March, 2013. Svatantra Microfin is guided by a social business model that adheres to tenets like empowerment, self-reliance and skill development.

Pahal Financial Services Ltd.

Svatantra Microfin Pvt. Ltd is a NBFC MFI that helps its customers become economically self-sustainable by providing micro loans. Though it was established on 17th February, 2012 by Ananya Birla, Svatantra officially launched its activities on 1st March, 2013. Svatantra Microfin is guided by a social business model that adheres to tenets like empowerment, self-reliance and skill development.

Nirantra FinAccess Pvt. Ltd.

Nirantara FinAccess Private Limited (NFPL) is a company registered under Indian Companies Act of 2013 and is registered with Reserve Bank of India as an NBFC-MFI. NFPL provides a range of micro-financial products and services to cover its customers' needs. NFPL offers financial services to socially backward but economically active women. Through them, it supports their family Members and their micro-businesses. The operational model creates opportunities for the women and enables them to operate their own productive economic activities and also to support their families. NFPL combines the unique Grameen Bank methodology of selecting, training, financing and servicing customers in the front-end with that of technology, processes and discipline of modern retail banking in the back-end.

Navachetana Microfin Services Pvt. Ltd.

Navachetana, a sister institution of Navachetana Foundation, is a NBFC that extends micro-loans to poor women who are excluded from mainstream banking services. These loans directly enable marginalised women to engage in income generating activities that enhance their livelihoods.

IDF Financial Services

Initiatives for Development Foundation (IDF) is a non-profit organisation founded by Developmental Bankers and Administrators who have expertise in micro- credit, micro-enterprise development, sustainable agriculture, rural development, transfer of technology, entrepreneurship promotion, corporate planning, communication and administration.

Apex Abishek

Apex Abishek Finance Limited (Apex) is one of the faster growing NBFC-MFIs incorporated in 1996 under Companies Act, 1956. Apex commenced its microfinance operations in January 2010 and caters to the financial needs of the people in India.

BSS Microfinance Pvt. Ltd.

Bharatha Swamukti Samsthe (BSST), a not-for-profit Trust is registered under the Indian Trusts Act, to engage in providing microfinance to rural and urban poor. Effective from April 1st 2008, the microfinance operations of BSST were taken over by BSS Microfinance Private Limited, while the same team, as BSST, continues to run it.

Belstar Investment and Finance Pvt. Ltd.

Belstar Investment and Finance Private Limited is a highly developmental and socially oriented NBFC-MFI working closely with Hand-in-Hand India (HiH) in achieving its vision of alleviating poverty through job creation and integrated community development.



NBFC-MFI: As defined by the RBI

RBI in December 2011 created a new category of NBFCs titled NBFC-MFI. NBFC-MFIs are required to have not less than 85 percent of the net assets in the nature of 'qualifying assets', satisfying the following criterion:

- Minimum NOF (Net Owned Fund) of Rs. 5 Cr. (North East Region- Rs 2 Cr.).
- 85 percent of total assets of MFI are in nature of 'Qualifying Assets'.
- 'Qualifying Asset' means a loan which satisfies the following criteria:
- The loan extended to a borrower whose household annual income in rural areas does not exceed Rs.100,000 while for non-rural areas it does not exceed Rs.160,000. Loan does not exceed Rs.60,000 in the first cycle and Rs.100,000 in the subsequent cycles. Total indebtedness of the borrower does not exceed Rs.100,000. Education and medical expenses are excluded while arriving at the total indebtedness.
- Tenure of the loan is not less than 24 months when loan amount exceeds

Rs.15,000 with the right of the borrower prepay without penalty.

- Loan to be extended without collateral.
- Aggregate amount of loans given for income generation should constitute at least 50 percent of the total loans of MFIs so that the remaining 50 percent can be for other purposes such as housing repairs, education, medical and other emergencies.
- Loan is repayable by weekly, fortnightly or monthly installments at the choice of the borrower.
- The average interest rate on loans during a financial year does not exceed the average borrowing cost during that financial year plus the margin, within the prescribed cap. The rate of interest on individual loans may exceed 26 percent, the maximum variance permitted for individual loans between the minimum and maximum interest cannot exceed 4 percent.
- Margin cap at 12 percent for small MFIs and 10 percent

for large MFIs (whose loan portfolios exceed Rs.100 crore).

- Only three components are to be included in pricing of loans viz. a) Processing fees not exceeding 1 percent of the gross loan amount, b) the interest charged and c) the insurance premium.
- There should not be any penalty for delayed payment.
- No security deposit/margin is to be taken.
- Capital requirement (CRAR): 15 percent of its aggregate risk weighted assets.
- Provisioning: 50 percent of the aggregate loan installments which are overdue for more than 90 days and less than 180 days and 100 percent of the aggregate loan instalments which are overdue for 180 days or more.
- Follow RBI's Fair Practices Code.
- Must be members of all Credit Information Bureau (CIBs) and onboard data to all Credit Bureaus as mandated by the RBI.

mfin Associates

While MFIN Membership is confined to the retail NBFC-MFIs, as an industry association MFIN has continuously engaged with a diverse range of stakeholders as they are integral to the development and growth of the industry and important players in the larger financial inclusion dialogue.

In order to ensure a closer engagement with such stakeholders it was decided that other such stakeholders be brought on board under a new category of Associates. MFIN has the following Associates in its fold:

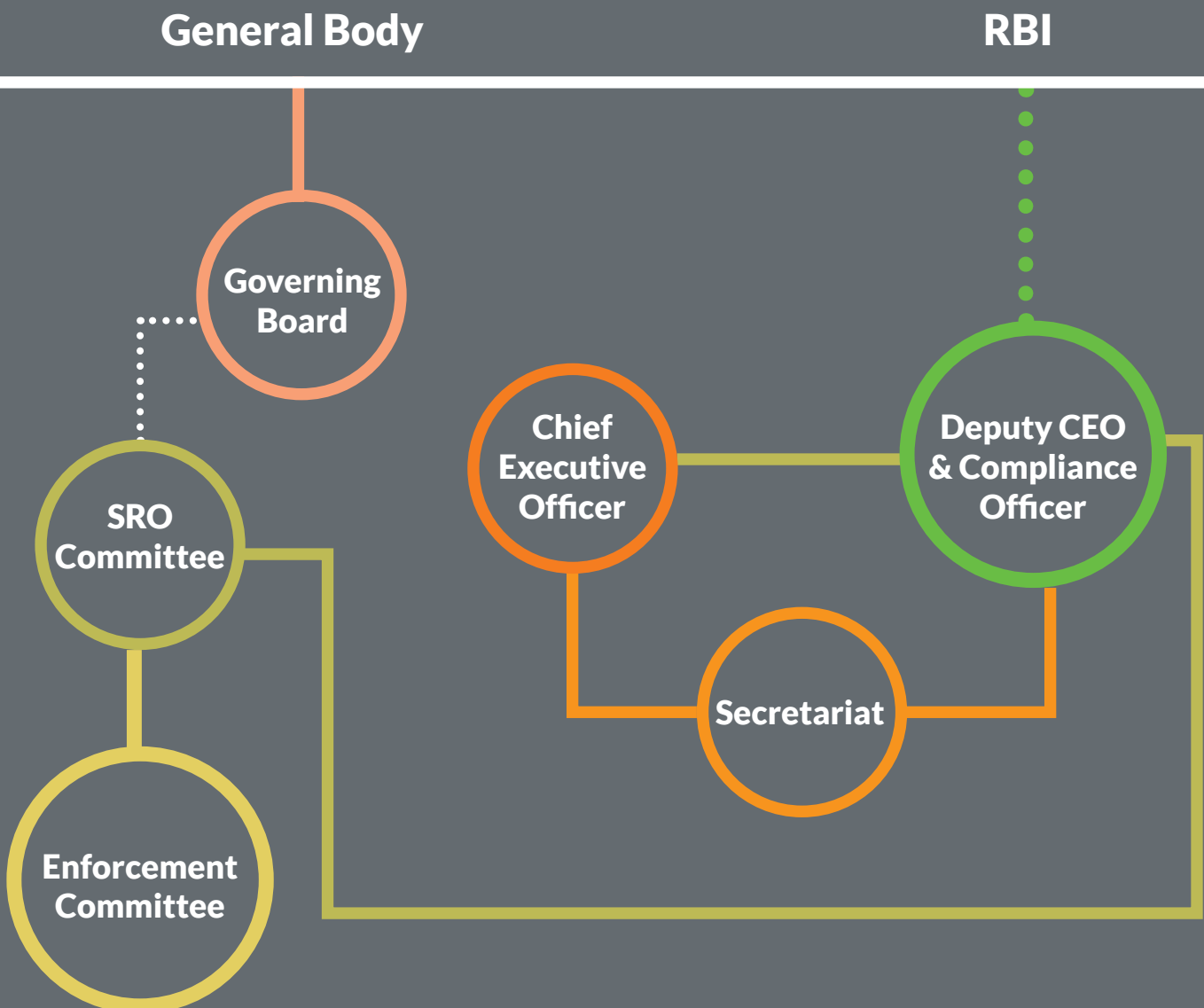
LandT Finance Ltd	NBFC
ASA International India Microfinance Pvt Ltd	NBFC
M Power Micro Finance Pvt Ltd	NBFC
Sarvodaya Nano Finance Ltd	NBFC
Share Microfin Ltd	NBFC
Svasti Microfinance Pvt Ltd	NBFC
Accion	Think Tank
Grameen Foundation India	Think Tank
ICICI Bank	Bank
IndusInd Bank	Bank
Lok Social Services Indian	Foundation
Vaya FinServ Pvt Ltd	BC





Governance

Governance Structure



MFIN is a Member driven organisation with a collaborative, consensus based approach to promote universal access to finance. Policies and structures form the backbone of MFIN's governance system, ensuring healthy development of the NBFC-MFI industry.

Governance Systems

MFIN is governed by the provisions of the Andhra Pradesh Societies Registration Act 2011, under which it has been awarded a certificate of registration as a society, dated 14th December 2009.

Bye-Laws

The MFIN bye-laws adopted by the Members, clearly spell out the transaction of business rules of the institution and governing structures. The bye-laws are revised from time to time to meet the changing policy and regulatory landscape. The bye-laws were revised last in May 2015.

General Body

The General Body is constituted of all Members of MFIN and is

the supreme governing body. The General Body meets annually and is responsible for the overall vision and directions for the Society.

Governing Board

MFIN receives strategic guidance in fulfilling its overarching objectives from the Governing Board. The current bye-laws provide for maximum of twelve Members, one-third being Independent Members. The term of each Member of the Board is for a term of three years and may stand for election only after a gap of at least one year. The 'Fit and Proper' criteria, as prescribed by the RBI from time to time, is a necessary requirement for becoming a Member of the Board.

For the year 2014-15, MFIN

has a Board comprising of a minimum of seven and a maximum of twelve Members including a President, a Vice President and a CEO. One-third of the Board consists of Independent Members. Of the Independent Members, one is from the Associates of the Society. Currently, MFIN has an 11 Member (seven elected Members and three Independent) Governing Board and a CEO who acts as the Member Secretary to the Society and implements the broad goals of the organisation, while providing overall direction to its activities for ensuring healthy development of the NBFC-MFI industry.

Governing Board

PRESIDENT



Samit Ghosh
MD & CEO, Ujjivan
Financial Services

Samit Ghosh is the CEO and Managing Director of Ujjivan Financial Services. Samit has been a member of the international banking community for over 30 years. He led the launch of retail banking for Standard Chartered in the Middle East and South Asia, and for HDFC Bank in India. His last commercial assignment was Chief Executive (India) of Bank of Muscat. He is an alumnus of Jadavpur University and the Wharton School of the University of Pennsylvania.

VICE PRESIDENT



V.S Radhakrishnan
CEO, Janalakshmi
Financial Services

V.S Radhakrishnan is the CEO of Bangalore headquartered Janalakshmi Financial Services. He was with HSBC for over 25 years where he held various senior positions before moving to ING Vysya Bank. He has been with Janalakshmi since August 2007. Radhakrishnan has an MBA from Indian Institute of Management, Ahmedabad and also holds a CAIIB qualification from Indian Institute of Banking & Finance.



Suresh Krishna
MD,
Grameen Financial Services Pvt. Ltd.

Suresh K. Krishna is the Managing Director of Grameen Financial Services Pvt. Ltd. He has been a development professional since 1997. He is the Secretary of the Association of Karnataka Microfinance Institutions (AKMI). Krishna is also the Chairman of Microfinance Focus and the Promoter and Director of Ekayana Media Services Pvt Ltd.



K. Paul Thomas
MD, ESAF Microfinance and
Investment

K. Paul Thomas is the Chairman and Managing Director of ESAF Microfinance and Investments Pvt. Ltd. He has a Master's Degree in Business Administration. Prior to starting ESAF, he worked for 18 years with the world's largest fertilizer cooperative, IFFCO. In recognition of his contribution to the industry, ILO Geneva invited him to deliver a lecture on the scope of microfinance for livelihood promotion. In 2010, International Labour Organization selected ESAF as one of its partners for implementing its Project Microfinance. ESAF Microfinance has won the prestigious Micro insurance award constituted by Planet Finance and ING Group in 2007.



Manoj Kumar Nambiar
MD, Arohan Financial Services

Manoj Kumar Nambiar is the MD of Arohan Financial Services, headquartered in Kolkata. Mr. Nambiar has over 25 years of experience in consumer finance and retail banking, starting with Modi Xerox, GE Countrywide, ANZ Grindlays and ABN Amro Bank in India. He headed retail banking at National Bank of Oman, was COO at Alhamrani Nissan Finance Company, KSA and then Dy CEO of Ahli Bank in Oman. Manoj is a mechanical engineer from VJTI, Mumbai, a management post graduate from JBIMS, Mumbai and also has tertiary qualifications in insurance. He is a Director on the Boards of Intellecash Microfinance Network Company (P) Limited and Intellec Software Technologies (P) Limited.



R. Baskar Babu
CEO, Suryoday Micro Finance

R. Baskar Babu has 22 years of Financial Services and Banking experience and has earlier worked with First Leasing, Cholamandalam, HDFC Bank and GE Capital in various leadership positions. He is the Promoter & CEO of Navi Mumbai based Suryoday Micro Finance. Suryoday is focussed on becoming a world class Financial Inclusion player with focus on employees and customers to enable a better and sustainable livelihood for its customers.



Anand Rao
MD, Chaitanya India
Fin Credit

Anand Rao is the Co-founder and Managing Director of Chaitanya Microfinance. He has been with Chaitanya for the past five years. He has two years of experience in the corporate sector and six years of experience in the development sector. In the corporate sector, he has worked at Bosch India and Pepsico. In the development sector, he has worked at World Resources Institute, Washington DC and in India at Small Scale Sustainable Infrastructure Development Fund.

INDEPENDENT BOARD MEMBERS



Vinay Baijal
Retired CGM, RBI

Vinay Baijal retired as Chief General Manager (CGM) from Reserve Bank of India (RBI) after working there for 35 years. He worked as CGM, Department of Banking Operations and Development, Central Office RBI for four years, dealing with regulatory frame-work for foreign banks in India, with emphasis on International Banking and Anti-Money Laundering. As CGM, Foreign Exchange Department, Central Office, RBI he dealt with policy framing and implementation of exchange control in India. Vinay was the founding CEO of Banking Codes and Standards Board of India (BCSBI). Vinay also worked as a member of the SEBI "Committee on Mis-selling of Mutual Funds" in 2011-12. He is associated as a senior consultant with KPMG.

Navin Kumar Maini

Former Deputy Managing Director, SIDBI



Navin Kumar Maini was the Deputy Managing Director of SIDBI. He has more than three and a half decades of experience in commercial and development banking. He was also the Chief Executive Officer of the Credit Guarantee Fund

Trust for Micro and Small Enterprises (CGTMSE), Mumbai. An alumnus of St. Stephens College, Delhi, Navin holds a Degree in Law from Delhi University.

Rajat Kathuria

Director and Chief Executive at ICRIER



Rajat Kathuria is Director and Chief Executive at the national think tank,

Indian Council for Research on International Economic Relations (ICRIER), New Delhi. He has worked with the Telecom Regulatory Authority of India (TRAI) during its first eight years (1998-2006). He has worked with the World Bank, Washington DC as a Consultant and has carried out project assignments for a number of organisations, including ILO, UNCTAD, Linne Asia, Ernst and Young, Consultancy Development Centre (CDC) and Standing Committee for Public Enterprises (SCOPE).

Sanjay Sinha

MD, M-CRIL



Sanjay Sinha is the Managing Director of Micro Credit Ratings

International Limited (M-CRIL) – a leading development consultancy firm which conducts assessments and ratings of microfinance institutions and provides research and advisory services for the development sector. He holds an MPhil in Economics from Oxford University.

Alok Prasad

CEO



The MFIN Secretariat is headed by Mr. Alok Prasad as its professional CEO who is also an ex officio

member of the Board. Alok is a veteran banker with over 30 years of both public and private sector banking and financial services experience. He was formerly the Head, Strategy & Business Development, of Citi Consumer Group, and Country Director of Citi Microfinance Group (India). He also served on the Boards of Citi Financial Ltd and Citicorp Maruti Finance Ltd.

Prior to joining Citi, Alok had a long stint with the RBI, across various departments, in both Central and Regional Offices. He was also a member of the start-up team of the National Housing Bank, where he played a significant role in the formulation of policies for the development of the housing finance sector in India. Alok is also serving as the Chairperson of the South Asian Microfinance Network (SAMN) for the year 2014.

Ratna Vishwanathan

Dy. CEO & Compliance Officer



As Dy. CEO and designated Compliance Officer of MFIN, Ratna spearheads Self-Regulation and

Communications activity. She brings to MFIN a combination of Government and development sector experience. Belonging to the 1987 batch of the prestigious Indian Audit and Accounts Service, she comes with extensive audit/finance experience across a range of Departments of the Govt. of India. In the development sector she has served at very senior levels with distinction in well-known international NGOs such as Oxfam and VSO.

Board Committees

MFIN has two Board Committees:

Finance and Audit Committee

The Board sub-committee on Finance and Audit oversees the investment of surpluses and reviews the financials of MFIN on a quarterly and an annual basis. The composition of this committee during 2014-15 was as under:

- Rajat Kathuria (Chair)
- Suresh Krishna
- N.K Maini
- Ratna Vishwanathan (Member Secretary)

Human Resources Committee

The Board sub-committee on Human Resources (HR) is responsible for senior level hiring at MFIN and other HR related issues. The composition of this Committee during 2014-15 was as under:

- Samit Ghosh (Chair)
- Sanjay Sinha
- Manoj Nambiar
- Alok Prasad (Member Secretary)

Task Forces

To assist MFIN in reviewing policy issues and acting as a sounding board for critical issues, MFIN has in place Task Forces that are comprised of diverse Members coming together on a subject of vital importance to the industry.

These Task Forces generally include internal and external MFIN member representatives as well as other diverse stakeholders. The Task Forces are assisted by the MFIN Secretariat. Task Force members are appointed by the Board every year.

The year 2014-15 had a total of five Task Forces. A brief description of the Task Forces and their composition is given as under:

Task Force on Advocacy and Communications

The Advocacy and Communications Task Force is responsible for engaging with the Reserve Bank of India, Central Government, State Governments and other key stakeholders and decision makers. The Task Force holds regular dialogues with key policy makers to create a favourable operating environment for the Microfinance Industry. The Task Force is also responsible for managing the communications strategy of MFIN. The members of the Task Force are as under:

Advocacy and Communication Task Force Members

Name	Representative Organisation
Samit Ghosh	CEO & MD, Ujjivan Financial Services Ltd.
Manoj Nambiar	CMD, Arohan Financial Services Ltd
V.S Radhakrishnan	Founder & Chairman Janalakshmi Financial Services
Alok Prasad	CEO, MFIN

ACTIVITY HIGHLIGHTS

The Task Force members mandated a series of sustained dialogues with banking and insurance regulators (RBI, IRDA etc.), Ministry of Finance (MoF) and other relevant stakeholders on industry relevant issues. These engagements resulted into positive outcomes for MFI Industry in areas such as creation of Small Finance Banks and amendment on the lending limits for Group loans.

The Communication vertical in MFIN was set up during 2014-15 and a communication strategy for MFIN addressing external and internal communications is in the process of being rolled out.

Task Force on Credit Bureau (TFCB)

The Credit Bureau Task Force is responsible for strengthening the credit bureau eco system for microfinance clients in the country. This Task Force is headed by R. Baskar Babu, Director and Founding Member, Suryoday. The members of the Task Force are as under:

Credit Bureau Task Force Members	
Name	Representative Organisation
R Baskar Babu	Director and Founding Member, Suryoday Microfinance
Ritesh Chatterjee	Deputy COO, SKS Microfinance
Subhankar Sengupta	Arohan Financial Services Pvt. Ltd
Sadaf Sayeed	COO, Muthoot Microfinance
Sugandh Saxena	Member Secretary, MFIN

Task Force on State Chapters and Membership

The Task Force on State Chapters and Membership was formed in 2013-14 to develop a comprehensive frame-work of MFIN's State level engagement. The Task Force had its objective to put in place an effective state level engagement model through state chapters and associations to deepen advocacy, communication and self-regulatory functioning of MFIN at the state and district level. This Task Force was assigned the responsibility to look after the scope of MFIN Membership to make MFIN a more inclusive body. V.S Radhakrishnan is the Chairman of this Task Force. The members of the Task Force are as under:

State Chapters & Membership Task Force Members	
Name	Representative Organisation
V.S Radhakrishnan	MD and CEO, Janalakshmi Financial Services Pvt. Ltd
Anand Rao	MD Chaitanya India Fin Credit Pvt. Ltd
Govind Singh	MD AND CEO, Utkarsh Micro Finance Pvt. Ltd
K. Paul Thomas	Founder Chairman and MD, ESAF Microfinance And Investments Pvt. Ltd
Suresh Krishna	MD Grameen Koota Financial Services Pvt. Ltd.
Achala Savyasaachi	Member Secretary, MFIN

ACTIVITY HIGHLIGHTS

Some of the key activities of this Task Force include:

1. KYC standards for member/associate MFIs have been framed and Members are expected to comply with them from the 1st of April 2015.
2. In order to ensure that MFIs can put in place necessary systems and processes around credit bureau, a detailed handbook has been created.
3. The TFCB has engaged with both the CICs for strengthening the search logic.
4. Additionally, regular inputs have been sent to RBI highlighting data gaps in CICs on account of non-submission of data by SHGs, Banks (directly/BC model etc.) and non-regulated MFIs.

ACTIVITY HIGHLIGHTS

The Task Force for State Initiatives and Associates was chaired by Radhakrishnan V.S and the other Members of the Task Force were Anand Rao, Govind Singh, Suresh K. Krishna and Paul Thomas. The Task Force provided detailed guidance to the team throughout the year. It discussed and advised on the design of the state and district level work of MFIN. In line with the need for better coordination among Member organisations and improved engagement with external stakeholders, the Task Force provided an elaborate operational framework for state level engagement. Their focussed attention provided a blue print for nationwide network of state and district level structures. They engaged closely with the team to shape up the state chapters and affiliation proposal to the state Associations, defining the role and expectations of these structures, the role of district forums and their design etc. The Task Force periodically reviewed the feedback from the state initiatives for necessary corrections. The newly introduced category of Associateship was given due attention by the Task Force in order to outline the services that could be offered to them and bring in important stakeholders within the fold of MFIN.

Self-Regulatory Organisation (SRO)

Compliance Officer

As required under the RBI Guidelines, MFIN has a dedicated Compliance Officer for oversight of the SRO functions within MFIN. In order to provide oversight and steer, the Board has set up an Enforcement Committee, which in turn reports into a Self-Regulatory Organisation Committee

Self-Regulatory Organisation Committee (SROC) of the Governing Board

For proper discharge of the SRO role and exercising oversight for adherence to regulations and guidelines prescribed by the RBI from time to time, as well as the CoC of the Society by Members, there shall be a Committee designated as the Self-Regulatory Organisation Committee (SROC).

The SROC shall comprises of 5 (five) Members of which 2 (two) shall be from amongst the Elected Members of the Board and 2 (two) shall be from Independent Members on the Board. The remaining 1 (one) member of the SROC shall be an independent person of eminence who is familiar with the financial services industry, whose appointment and remuneration will be approved by the Board. In addition, the Chairperson of the Enforcement Committee will be a member of the SROC.

Self-Regulatory Committee (SROC)

Name	Representative Organisation
Vinay Baijal (Chair)	Retired CGM, RBI
Diwakar Gupta*	Ex-MD, SBI
R. Baskar Babu	CEO, Suryoday Micro Finance Pvt Ltd
Samit Ghosh	MD, Ujjivan Financial Services Ltd
V. Vedakumari*	Director, NIRD
Alok Prasad	CEO, MFIN

* Member resigned from the SROC

Powers and Functions of the SROC:

- The SROC bases its mandate on the RBI guidelines dated 26th November, 2013 and any other directions issued in this respect by the RBI which broadly spells out the role of the SRO
- The SROC will keep the Board informed of all facts and decisions
- The SROC will be the appellate body for EC decisions. The SROC can recommend suspension, expulsion and termination of Membership to the Board with a speaking order in writing. The Board will have the final decision on this
- In the event of a dispute between Members and the EC, the final appeal lies with the SROC and the decision of the SROC will be final and binding.

Details of the meetings/concalls held by the SROC during the year under review:

S No	Date	Concall/ Meeting
1	26-Sep-14	Meeting
2	12-Dec-14	Concall
3	10-Feb-15	Meeting
4	16-Apr-15	Meeting

Enforcement Committee

For proper enforcement of the CoC and exercising oversight adherence to regulatory norms with reference to regulatory compliance of the RBI/ Government/any other regulatory authority, the Society has constituted an Enforcement Committee (EC). The EC comprises of 5 (five) members, of which 2 (two) are elected from within Industry Members and 3 (three) persons of eminence are appointed by the Board, and they are other than the Independent Members of the Board.

The role of the EC shall be to primarily handle issues arising out of internal disputes between the Members and grievances arising from clients requiring redressal. Standard Operating Procedures (SOP), duly approved by the SROC, will define the EC's role as an entity that handles dispute resolution between Members and client grievance redressal issues.

The EC can take the following actions subject to the guidelines approved by the Board:

- Issue Warning
- Issue Censure
- Levy fines for violations as laid down in the RBI's Fair Practices Code and the Industry CoC
- Recommend suspension/termination of membership of any Member to the SROC

An appeal against the decision of the EC will lie with the SROC. Such an appeal will have to be submitted in writing. The decision of the SROC will be final.

The composition of the Enforcement Committee for 2014-15 is as below:

Internal Members	
H.K.N Raghavan	CEO Equitas Microfinance India
Prakash Sundaram	Group CRO, Future Financial Services
External Members	
Haresh Kulshrestha Chair	Retired CGM, RBI
Anil Girotra	Ex-ED, Andhra Bank
S. Lalita Rao	Independent Microfinance Consultant Ex-officio Member
Ratna Vishwanathan	Compliance Officer

Details of the meetings/ concalls convened by the Enforcement Committee:

S No	Date	Concall/ Meeting
1	1-Oct-14	Meeting
2	17-Nov-14	Concall
3	22-Dec-14	Concall
4	13-Jan-15	Meeting
5	9-Jun-15	Concall
7	19-June-15	Meeting

General Body Meetings

MFIN Annual General Meeting (AGM)

The MFIN Annual General Meeting (AGM) was conducted on 30th June 2015 in Mumbai. The General Body Members elected its new Board through a secret ballot process. The Governing Body members are:

Manoj Nambiar	President
R Baskar Babu	Vice President
V S Radhakrishnan	Member
K Paul Thomas	Member
Anand Rao	Member
H K N Raghavan	Member
Govind Singh	Member

The nominated Independent Members who continue from the last Board are:

Rajat Kathuria
Vinay Baijal
Sanjay Sinha
Navin Kumar Maini

MFIN Extraordinary General Meeting (EGM)

MFIN held an EGM on the 26th of May 2015 in Gurgaon to consider and change the inconsistencies and anomalies of the bye-laws through which MFIN is governed.

The agenda of the meeting was:

- To consider and change the inconsistencies and anomalies of the bye-laws of MFIN in light of the changing financial inclusion landscape.
- The revised bye-laws were approved and adopted by all Members present and voting.





Our Work

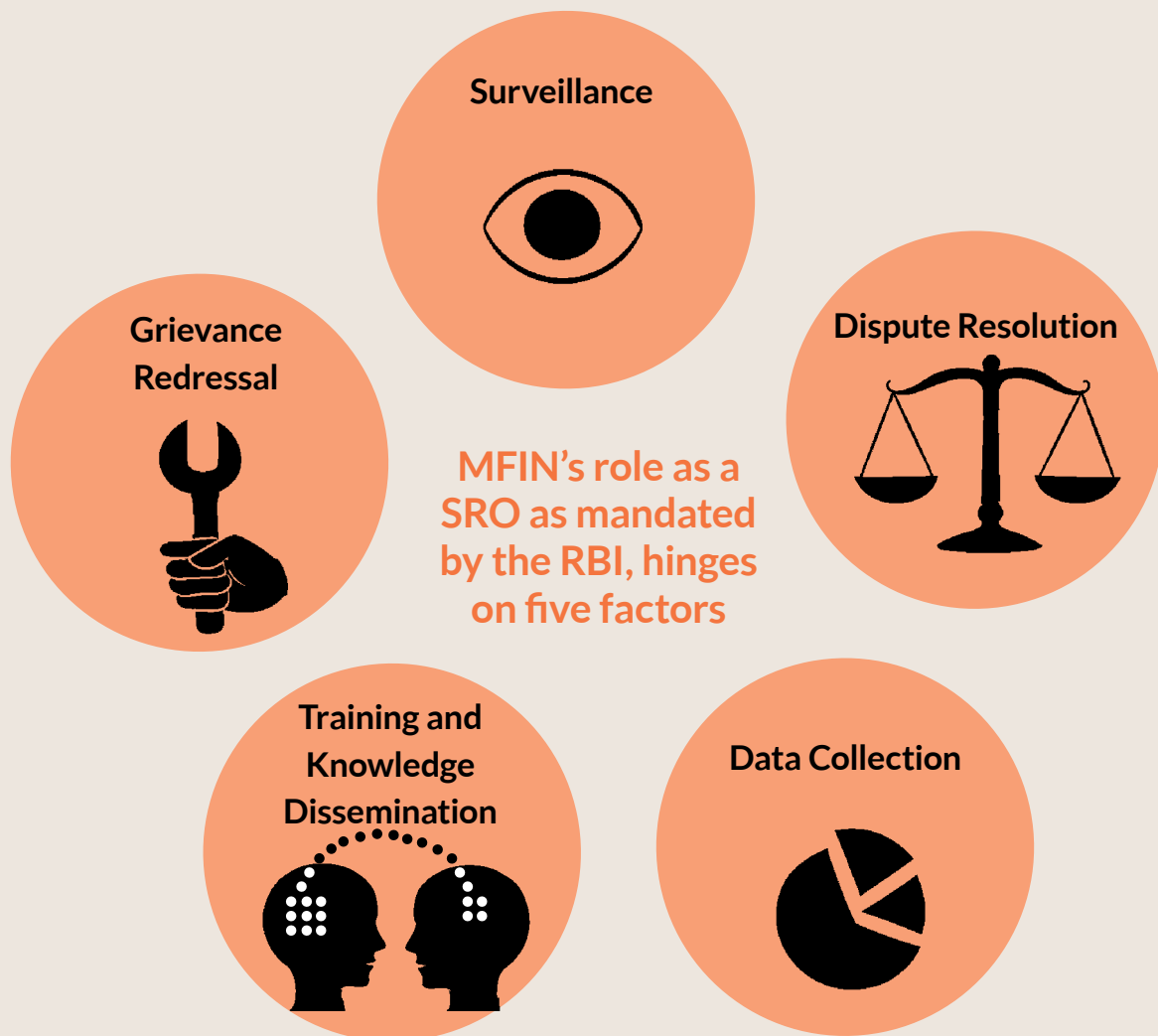


MFIN's work broadly rests on the four pillars of Self-Regulation, Advocacy and Communication, Development and State Initiatives.



Self Regulation

Key Activities



Surveillance

In exercising its role as a SRO, MFIN seeks to ensure that proper processes are put in place by members to ensure adherence to the regulatory prescriptions of the RBI, the Fair Practices Code and the Industry Code of Conduct. The methodology for surveillance that has been put in place entails the following processes:

- A. Self-Assessment by the MFIs based on a self-assessment tool (currently, Responsible Business Index)
- B. Client Grievance Redressal Tracker
- C. Credit Bureau Reports, and
- D. Any episodic occurrences

A. Responsible Business Index

The Responsible Business Index (RBIIndex), is a bi-annual exercise and is a self-assessment tool

for evaluating responsible business principles and practices of MFIs. The first Round (A) of the exercise was conducted in 2014-15 and covered information as on 31st July 2014. The second Round (B) of the exercise covered data as of 31st March 2015. The RBIIndex indicators cover the RBI's Fair Practices Code (FPC) and Industry Code of Conduct (CoC) under the following four broad areas:

1. Disclosure to customers (weightage 32%)
2. Customer engagement (weightage 21%)
3. Institutional processes (weightage 38%)
4. Transparency (weightage 9%)

The four broad areas are further divided into 83 sub-parameters to form the maximum total score of 100. MFIN member NBFC-MFIs are asked to report their compliance with reference to the above four broad areas using an online survey.

This summary and comparison of the score of self-reported data from 47 member NBFC-MFIs during the two rounds of RBIIndex, is as under:

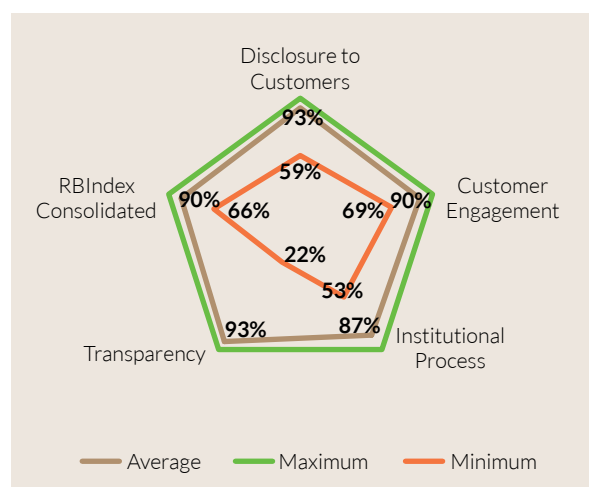
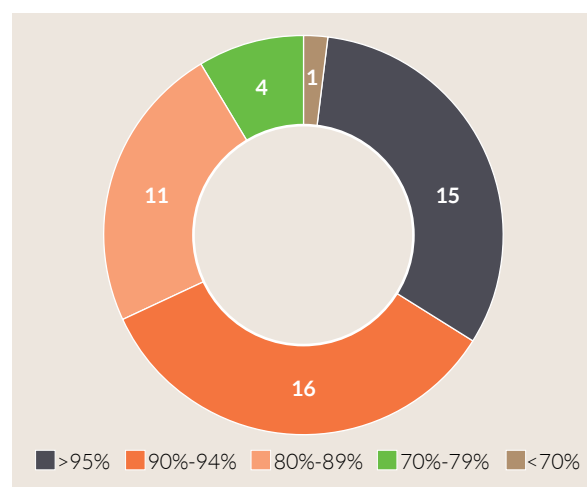
Summary		2014-15 A	2014-15 B	
Parameters	Max Score	Avg Score	Avg Score	
Disclosure to customers	32	29	30	↑
- branch	8	7	8	↑
- In loan card	14	13	13	
- in loan agreement	10	9	9	
Customer engagement	21	19	19	
- loan process (sanction, disbursement, repayment)	11	10	11	↑
- customer education, rights and welfare	10	9	8	↓
Institutional process	38	34	33	↓
- HR	11	10	10	
- complaint redressal system	7	7	6	↓
- audit and compliance	10	9	9	
- board	10	8	8	
Transparency	9	8	8	
Total	100	90	90	

The overall score of the Industry from Round (B) was:

- Industry collectively had an overall score of 90%
- 32% (15) members scored > 95%
- 34% (16) members scored in the band of 90%-94%
- Only 11% (5) members scored less than 80%

- Based on average score, industry scored 90%, the highest in disclosure to customers and transparency (93%)
- Average industry score for RBIndex and various parameters are as under:
 - ♦ Overall: 90%
 - ♦ Disclosure to customers: 93%
 - ♦ Customer engagement: 90%
 - ♦ Institutional Process: 87%
 - ♦ Transparency : 93%

RBIndex-Performance of members

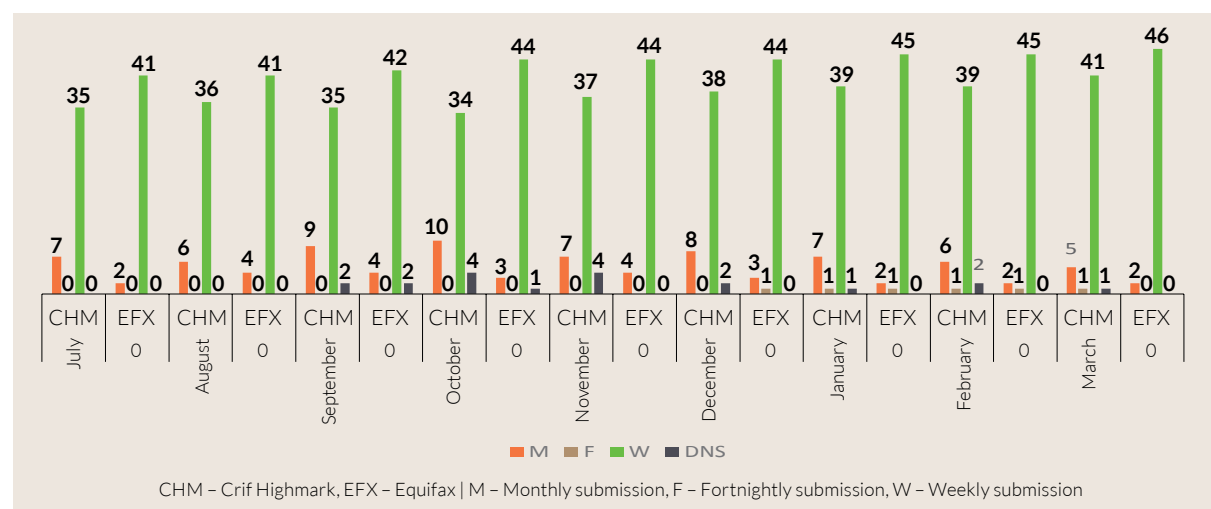


- Graph shows the performance of industry in four areas using industry maximum, average, and minimum scores

B. Credit Bureau Reports

MFIN mandates all its members to become members of all CICs having a MFI bureau. MFIN

Frequency of data submission to 2 CICs



Credit Bureau standards dated October, 03, 2012 further stipulates - all MFIN members should submit full and complete data to both CICs on a weekly frequency.

The EC analysed the data submission of 48 members for the period from April, 14 to March, 2015. The EC was of the view that there is a significant improvement in the number of members submitting data on a weekly basis, however efforts must be made to ensure 100% data upload by all members. The EC identified members for (i) non/late data submission, (ii) non-submission of fortnightly/weekly data and wrote to members urging them to comply with CB standards and reply back with an action plan.

As a part of setting up high credit bureau compliance standards amongst members, a "Handbook on Credit Bureau Systems and Process" was shared with members as a reference book.

C. Episodic Occurrences

Based on the information to MFIN about mass default and the active presence of ring leaders in Erode in Tamil Nadu and Nanded in Maharashtra, MFIN commissioned a third party evaluation of all branches of MFIs in both these places. The purpose of the evaluation was to find out the causes for the irregular behaviour of clients and to assess compliance by MFIs to regulatory standards & COC.

During the evaluation in Nanded and Erode it was observed that the primary reason for default was over indebtedness of clients and their inability to repay the loans. As recommended by the EC, cases

of non-compliance highlighted in these reports have been shared with the RBI in the Report of the SRO to the RBI.

The EC issued a detailed advisory on MFI operations – preventive measures urging NBFC-MFIs to review and strengthen the controls in the processes of client acquisition, sanction, disbursing and loan servicing to ensure that all guidelines including preventive measures are followed meticulously by the dealing staff/officials.

Dispute Resolution

Any violation of the RBI's Directions on NBFC-MFIs, Fair Practices Code and Industry Code of Conduct by a member impacts the business of other members and skews the level playing field. This leads to internal disputes between members and hence the need for dispute resolution. By joining MFIN, members agree in-principle that if they believe fellow members are in violation of trade rules, they will address these issues through a common dispute resolution mechanism mandated by the SRO and not resort to taking action unilaterally. The Enforcement Committee is the body that addresses industry disputes and issues directives to MFIs. The SRO Committee is the Appellate Authority for dispute resolution cases.

In the year 2014-15, the EC received 19,965 complaints based on violation of two lender limit to a MFI borrower. These complaints were based on Credit Information Report (CIR) provided by CICs. Of the complaints received, 7,733 have been closed. And 8129 complaints are under process.

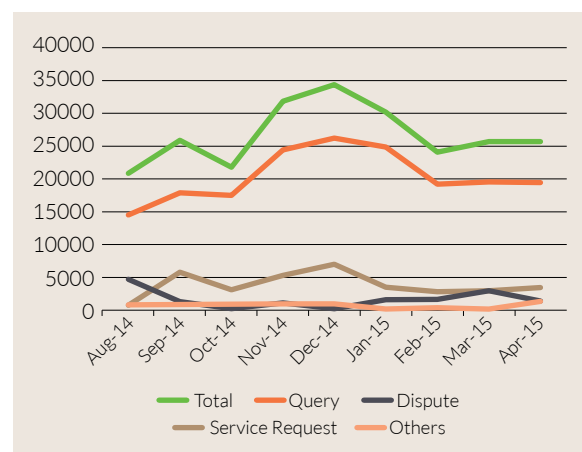
Grievance Redressal

Grievance Redressal of microfinance clients is an important function of the SRO. As a consumer protection measure, various activities related to grievance redressal have been initiated by MFIN in 2014-15. The EC has been exercising direct oversight of these activities. The details are as follows:

a. Grievance Redressal Tracking Tool

- MFIN members submit their Grievance data on a monthly basis to the SRO in a standardized template.
- The template captures various information, such as contact details of the customer, address, turn around time of the Grievance, complaint log number etc. This data is analysed and findings are presented to the EC.
- A summary of the data received from Aug 2014 till April 2015 is as given under. As demonstrated, maximum cases received on the GRM helpline of member MFIs' are those related to queries about product, job availability, third

Summary of complaints received by MFIN members



party products and status of insurance claims. Based on the information provided through this monitoring report, the EC is of the view that MFIN should take proactive steps to strengthen grievance redressal mechanisms in the industry taking into account the framework proposed in the Grievance Redressal study as mentioned in subsequent point (c).

b. Toll Free Helpline

MFIN has an engaged nodal person to receive and record grievances of a MFI customer. Further, MFIN plans to start a toll free number for registering complaints of microfinance customers. The outbound calling facility as part of this initiative will be used as a validation of the self-reported data to assess the efficiency of grievance resolution at member MFI level. The helpline is a cloud-based telephony system and shall be operational from July, 2015.

c. Grievance Redressal Framework

Based on existing grievance redressal mechanisms in place with all MFIs, and in order to standardize the same so as to have a minimum benchmark in place, MFIN commissioned Smart Campaign

Category wise break-up of Complaints

Month	Total	Query	Dispute	Service Request	Others
Aug-14	20854	14535	4734	746	835
Sep-14	25881	17914	1298	5798	871
Oct-14	21784	17489	262	3135	898
Nov-14	31826	24415	1130	5321	960
Dec-14	34384	26209	209	7017	949
Jan-15	30188	24887	1588	3514	199
Feb-15	24085	19209	1670	2818	388
Mar-15	25692	19562	2959	2989	182
Apr-15	25712	19461	1430	3463	1358

to develop a comprehensive architecture of Grievance Redressal Mechanism (GRM) for the microfinance industry, with the following objectives:

- To develop a monitoring mechanism to strengthen GRMs at the NBFC-MFI level
- To set benchmarks for good practices
- To develop three Grades of Grievance Redressal Mechanism that could be adopted by MFIN members

The information and data for analysis and GRM categorization of MFIs was sourced via online survey, telephonic interviews, Smart Assessment Reports and select field visits. MFI have been categorized on three levels depending on the strength of the mechanisms in place. The effort will be to move those on level I and level II to Level III in a specified time frame. The individual MFI level analysis was shared with MFIN members. The Grievance Redressal framework proposed as part of this Project will now be used to conduct member workshops next year for strengthening member practices on grievance redressal.

Revision in Industry Code of Conduct

Considering that the Industry Code of Code of Conduct had been formulated almost three years ago, a multi stakeholder Working Committee consisting of representatives from SIDBI, IFC, Sa-dhan, MFIN and M-Cril has been set up to revise the CoC, after taking into account inputs received from the NBFC- MFIs, Non-Profits and external stakeholders. In addition to the regulatory stipulations from the RBI, he Code of Conduct imposes a set of voluntary principles to ensure responsible and ethical business practices, which industry signs up to. The Code does not replace or supersede regulatory or supervisory instructions of the Reserve Bank of India

Training & Capacity Building

An essential component of client protection is client education. MFIN provides clients with tools and resources that can help them make wise financial decisions. To raise awareness on credit bureau and the merits of maintaining a good credit history, MFIN in partnership with IFC initiated the Credit Bureau Awareness Project for Microfinance Institutions in India in 2012. The Project objective was to expand and deepen consumer understanding of the importance of building a strong credit history, as well as the implications of credit information sharing, credit reports and the role of credit bureaus. Further, the Credit Bureau Consumer Awareness Campaign aimed to support MFI's across India to enhance their institutional capacity to effectively deliver, disseminate and implement consistent quality consumer protection and credit related financial education.

A suite of campaign modules like posters, picture cards, animation, banner pans, comic book etc for the Campaign have been designed.

MFIN is a founding member of the Responsible Finance Forum (RFF), formed in 2011 with the objective of institutionalizing the adoption and adherence of responsible finance principles into microfinance. Other founding members of RFF consist of representatives from IFC, World Bank, DFID, SIDBI, Michael & Susan Dell Foundation, Access Development Services and renowned microfinance practitioners Brij Mohan and N.S Srinivasan.

The RFF meetings are held quarterly wherein various stakeholders share key developments and trends in the industry and ways of partnering to address the challenges and new initiatives. MFIN has been participating actively in RFF meetings and deliberations.

Advocacy and Communications

MFIN's vision of promoting inclusive growth drives its advocacy and communication efforts.

Engagement with External Stakeholders

MFIN continued a series of sustained dialogues with banking and insurance regulators (RBI, IRDA etc.), Ministry of Finance (MoF) and other relevant stakeholders on industry relevant issues. These engagements resulted in positive outcomes for the MFI Industry in areas such as Small Finance Banks, where, besides other pro-industry guidelines, change in nomenclature from “small banks” to “small finance banks” was affected to the advantage of MFIs.

With RBI, multiple levels of engagements were held for furthering the Industry specific agenda around issues such as MFI-micro regulations, strengthening of the Credit Bureau ecosystem and pro industry SFB guidelines. MFIN engaged with the RBI Governor to discuss issues and micro regulations pertinent to the functioning of the industry.



Key Activities

MFIN's inputs to RBI on SFB Guidelines

MFIN organised a conference for Members in New Delhi and facilitated interactive sessions for Members with consultants from firms like KPMG, Deloitte, and E&Y. Based on the discussions, a note was developed and presented to the RBI resulting in positive outcomes for the Industry at large.

Workshop on Business Correspondents

A workshop was organised in technical partnership with MicroSave for Members on techno-financial aspects of the Business Correspondent model in Mumbai in October in 2014.

Relaxation in MFI – micro regulations

Other engagements with RBI were in relation to relaxations in MFI-micro regulations, especially with respect to the income levels of end clients and the loan ticket size. All lending institutions were directed by the RBI to report to CICs to strengthen the credit bureau ecosystem.

Insurance

The advocacy efforts with IRDA resulted in recognition of RBI regulated NBFC- MFIs as micro-insurance agents. The IRDA also agreed on channelisation of insurance claims to nominee(s) of deceased customers through lender MFIs as against direct transfer into nominee's account. After the release of micro-regulations, MFIN organised a Member's meet to discuss the effects of changes in MFI micro-regulations in Bangalore in May 2015.

Representations to Ministry of Finance (MoF)

With MoF, the engagements were in terms of portfolio refinancing of MFIs under MUDRA and acknowledgement of MFIs as an important set of institutions in connecting MSMEs with the formal credit system of the country. MFIN continuously engaged with MUDRA in representing all necessary viewpoints and specific inputs from Members.

MFIN also engaged with the MoF in advocating for leveraging existing NBFC-MFI channel distribution and network efficiencies in opening new BSBDAs under PMJDY. Multiple meetings were held at various forums with representatives of domestic and foreign investment firms to strengthen investments and on shoring-up PE Funds and investors' confidence in the industry.

Communicating Effectively

MFIN's communication strategy has focused primarily on building a positive perspective around the sector by engaging proactively with external stakeholders especially the media. MFIN has come to be recognised as an industry resource hub which is evident from the press coverage that MFIN has received in the past one year with a total of 75 MFIN news coverage stories and four exclusive interviews with MFIN spokesperson both in print and electronic media. This engagement with the media is not only restricted at the national level but has also slowly gained traction at the state level through media interfaces and one to one relationship building exercises especially for crisis management.

MFIN has also been active within the social media space with the aim of gauging real time feedback and standing of MFIN'S activities. This includes real time engagement on Facebook, Twitter, LinkedIn and MFIN (B)LOG.

In addition, MFIN publishes its monthly E-Newsletter (online) which provides a capsule of Industry related news updates, feature articles, interviews and client case studies.

Development

One of the core functions of MFIN is to aid and promote the development of a robust microfinance industry.

Industry Report

For the first time, at the behest of the RBI, MFIN put together an industry specific report on sector performance. The report will now be an annual document.

Data Points

MFIN has been consistently working towards structuring a comprehensive microfinance industry Information Hub with the objective of supporting policy formulation/dialogue and guiding industry practices. The Information Hub strives to provide comprehensive data and analysis of the micro finance industry to be used by a wide range of stakeholders like regulators, government departments, funders, investors, academia, media, rating agencies, consultants and MFIs.

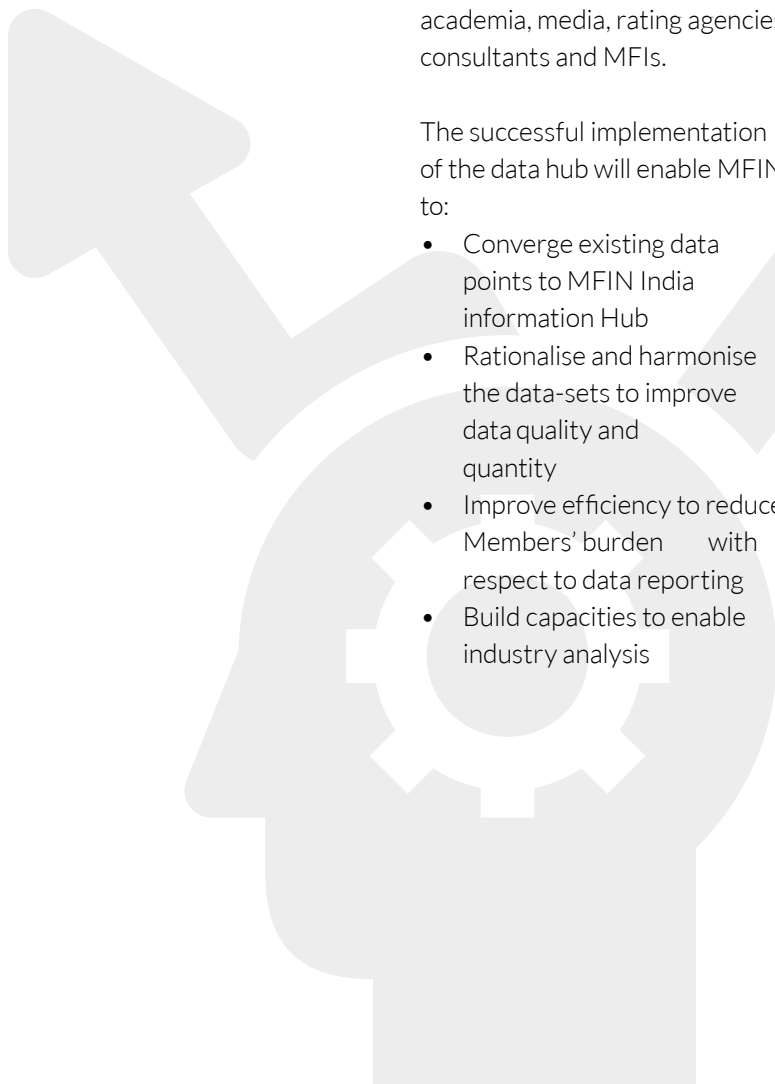
The successful implementation of the data hub will enable MFIN to:

- Converge existing data points to MFIN India information Hub
- Rationalise and harmonise the data-sets to improve data quality and quantity
- Improve efficiency to reduce Members' burden with respect to data reporting
- Build capacities to enable industry analysis

MFIN has a robust data collection and analytics capability

MFIN published quarterly and annual industry reports viz, MicroMeter and MicroScope in the FY 14-15. The MicroMeter provides quarterly trends of key operational and financial indices for the industry at a pan India and state level. The MicroScope, based on audited financials of Members, provides a comprehensive annual analysis for full range of operational, financial and funding related data. A web based platform, Micrometrics is being developed for Members for data reporting. Both the publications are available on the MFIN website.

MFIN has partnered with MLx Market to leverage on their expertise and existing systems and processes to collect and analyse data. This mutually rewarding partnership allows both the partners to leverage on each other's competencies and enrich overall information ecosystem of the industry.



State Initiatives

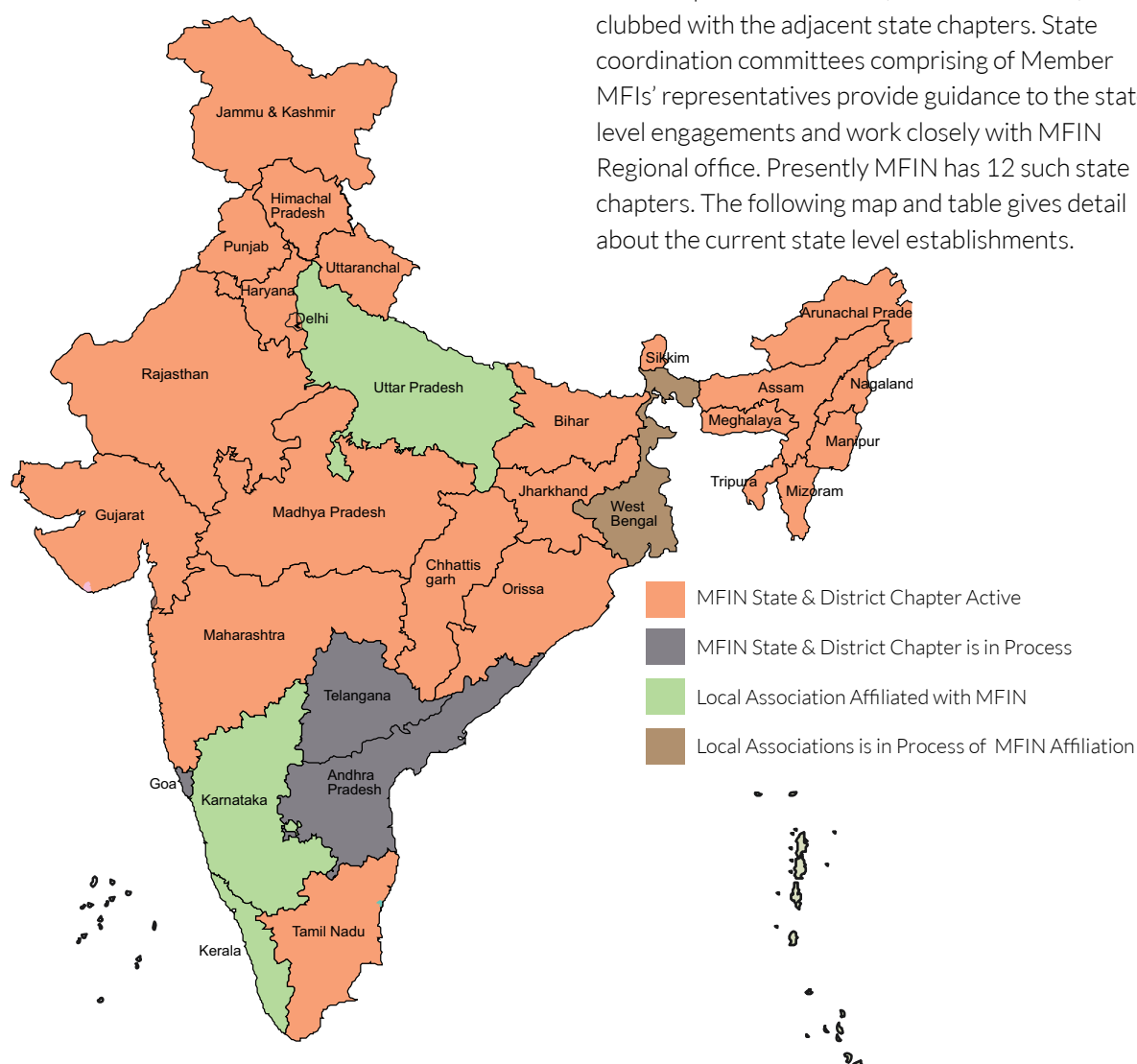
The Task Force on State Initiatives and Associate Membership recommended that MFIN establish a better coordination and cooperation platform at the state and district level among MFIN Members and other stakeholders towards building a cohesive and friendly environment. This is an important step towards widening and deepening the responsible finance practices upto the last leg of microfinance delivery points. The initiative aims to promote a financial eco-system in the field that:

- Provides a client connect and ensures responsible delivery of services
- Brings up early signals of stress in the field if any
- Ensures mutual learning and adherence to the FPC

The State Initiatives adopt a three pronged approach:

- Interact and coordinate with Government and other important stakeholders in the State
- Engagement with local Media in consultation with the Communications vertical
- Act as regional/state level advocacy platform

The initiative covers 32 states where microfinance services are being provided by Member NBFC-MFIS. This is done either directly through MFIN chapters, or by affiliating with state level Associations/bodies. Presently the MFIN state initiative works through its four regional offices in the south, north, west and east. Each state either has a chapter of its own or (the smaller states) are clubbed with the adjacent state chapters. State coordination committees comprising of Member MFIs' representatives provide guidance to the state level engagements and work closely with MFIN Regional office. Presently MFIN has 12 such state chapters. The following map and table gives detail about the current state level establishments.



Region	Name of the State Chapter/Association	Region	Name of the State Chapter
North & Central	Chhattisgarh State Chapter	West	Gujarat State Chapter
	Delhi & Haryana Composite Chapter		Maharashtra State Chapter
	Northern Composite Chapter (Himachal Pradesh, J&K, Punjab)		Rajasthan State Chapter
	Madhya Pradesh State Chapter		
	Uttarakhand State Chapter		
	Uttar Pradesh – UPMA*		
Eastern & North-Eastern	North-East Composite Chapter (Arunachal Pradesh, Assam, Manipur, Meghalaya, Mizoram, Nagaland, Sikkim & Tripura)	South	Tamil Nadu State Chapter
	Bihar & Jharkhand Composite Chapter		Karnataka-AKMI*
	Odisha State Chapter		Kerala-KAMFI*

* UPMA – Uttar Pradesh Microfinance Association

* AKMI – Association for Karnataka Macrofinance Institutions

* KAMFI – Kerala Association of Microfinance Institutions

The state and district level forums play a crucial role in enhancing mutual understanding, coordination and facilitating collective action among Member NBFC-MFIS, policy making bodies, law enforcement agencies, state and district authorities, media and other relevant stakeholders.

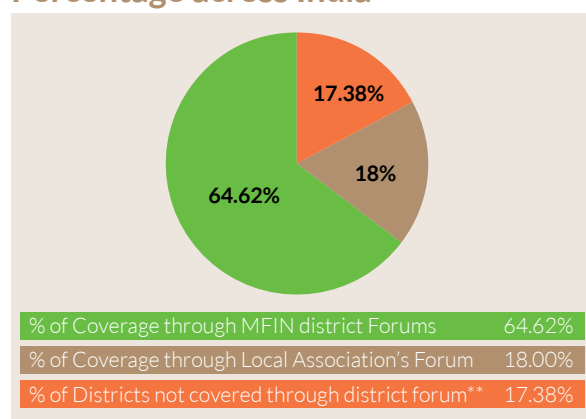
S No	Region	No of meetings convened of the state chapters (excluding state associations)	No of meetings convened of the district forums (excluding state associations)
1	North	12	102
2	East	8	218
3	West	10	98
4	South	3	59
	TOTAL	33	477

MFIN has organised a total of 33 state chapter meetings and 477 district forum meetings across all regions. During such meetings various key business and industry related items were discussed and allied collective coordination activities were taken up.

District forums have been set up where there are substantial microfinance operations and other

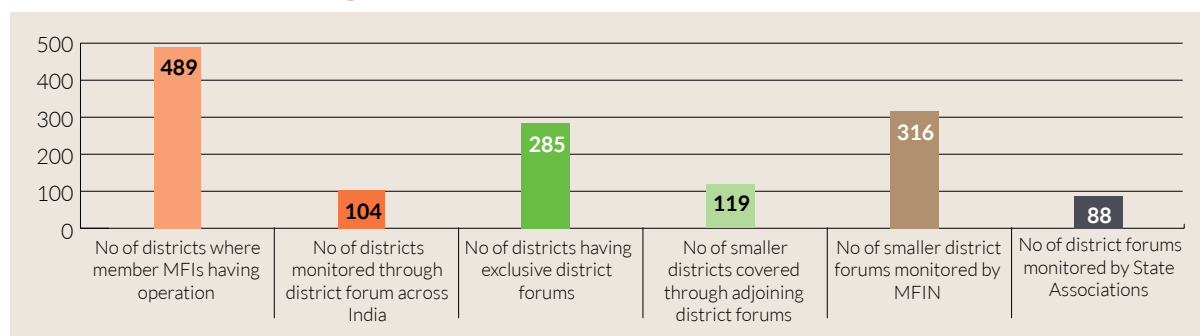
districts are appended to the nearby district forums. For grounding this work, MFIN has organised training workshops for lead MFI coordinators to prepare them to play their role effectively and efficiently at the district level. Efforts are being made to cover all the districts where MFIN Members are providing microfinance services through the network of district forums. The current district forums coverage is as given below:

District Forum Coverage in Percentage across India

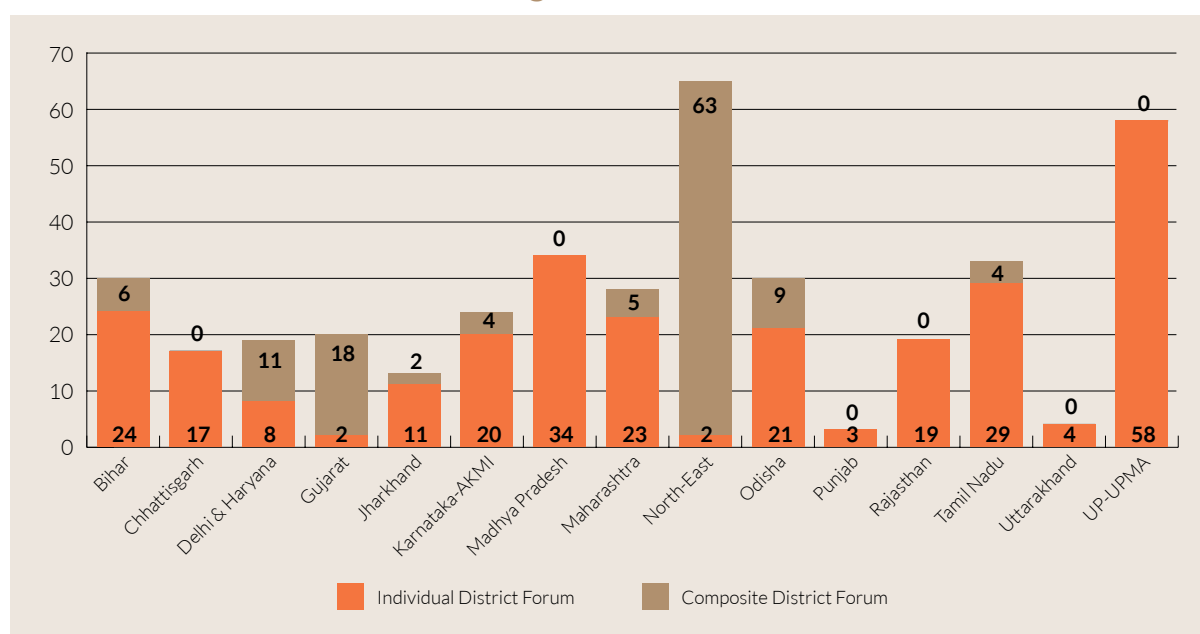


** MFIN State Chapters decided to set up district forums in these districts in future as right now there are no substantial operations.

District Forum coverage details across India



District wise district forum coverage details



The MFIN Micrometer dated 31st March 2015, states that Members are operating in 489 districts across India.

The initiative brings to fore the ramifications of various policies adopted or practices followed by microfinance delivery institutions including banks either directly or through banking correspondents on real time basis. It tracks the disruption in the operations with probable causes and throws up

early stress signals in the field. It captures the trends as emerging in the field as one observes commonality/similarity appearing in practices/modus operandi in completely different geographies with diverse socio economic backgrounds. The state level initiative at the same time provides a platform to build the culture of cooperation and mutuality at the field level that MFIN stands for and would like to promote. The initiative works as the primary indicative level of the collective in the last mile of service delivery.

SRO Round Table Conferences

MFIN organised two SRO Workshops for Members on the 10th and 20th of November at Kolkata and Bangalore respectively. The discussions centred on a) Surveillance and Evaluation, b) Customer Grievance Redressal c) Dispute Redressal and d) Financial Literacy and Customer Education. It was an internal focused workshop to bring Members up to speed on the role and functions of the SRO.

Training of Trainers Workshop on Credit Bureau Training Toolkit, Mumbai, India

MFIN and IFC partnered on a Campaign on Financial Literacy Project for Credit Bureau Awareness. A Training of Trainers was organised for the Members on 21st November in Mumbai. An information brochure on the Project was published by MFIN.

MFIN Members' Meet on Small Finance Bank Guidelines

MFIN organised a Members' Meet on the 7th of December 2014 in New Delhi to discuss the modalities of the Small Finance Bank Guidelines. MFIN was a part of the larger discourse in shaping up some of the important aspects of the guidelines as part of its advocacy efforts with RBI. Panelists from KPMG analysed the guidelines for the benefit of all Members.

MFIN SRO Discussion on "Perspectives on Self-Regulation in Indian Microfinance Industry"

A Panel Discussion was organised by MFIN on 8th December 2014 in association with Access Assist in New Delhi on the sidelines of the Financial Inclusion Summit. The panelists consisted of Dr. K.P Krishnan, Mr. Vijay Mahajan, Mr. Samit Ghosh, Mr. Sanjay Sinha and Mr. Alok Prasad. The discussions were moderated by Mr. Tamal Bandyopadhyay, Dy. Editor, LiveMint. The theme of the discussion was "Self-Regulation in Indian Microfinance". The "By-Invitation Only" event had participation from a wide variety of stakeholders like banks, academicians, consulting firms, DFIs, multilateral agencies, MFIs etc.

MFIN Members' Meet on Micro Regulations and MUDRA Guidelines

MFIN organised a Members' Meet on industry relevant issues pertaining to changes in RBI regulations on loan size and client income brackets in Bangalore. Discussions were also held regarding the MUDRA and the overall financial inclusion ecosystem in the country.

MFIN and ET Edge Financial Inclusion Summit

MFIN in association with ET Edge organised the "Financial Inclusion Summit" on the 26th of March 2015. MFIN was the knowledge partner for the event. Ratna Vishwanathan, Dy CEO, represented MFIN in the panel Self-Regulatory Practices in the Financial Sector.

MFIN Participation in other Events and Forums

- Microcredit Summit - CEO, MFIN participated as a panelist at the Microcredit Summit held in Mexico in the month of September 2014
- SAMN Regional Conference "Banking South Asia's half billion Unbanked", PMN, November 2014, Islamabad, Pakistan
- IFMR-CAB conference - "Translating Research into Policy and Action" 2015, IFMR Lead and College of Agricultural Banking, January 2015, Pune, Maharashtra
- Harvard India Conference around the theme on "Examining Microfinance Panel", January 2015, Delhi
- "Risks in Indian Microfinance/ Inclusive Finance" Seminar, MCRIL and CAB, February 2015, Pune, Maharashtra
- Roundtable on Microfinance Bill: "Need for a fresh Outlook", Access Assist, February 2015, Mumbai, Maharashtra.
- Panel on Impact of Financial Inclusion towards Disaster Resilience, KPMG Global Citizenship, February 2015, Pune, Maharashtra









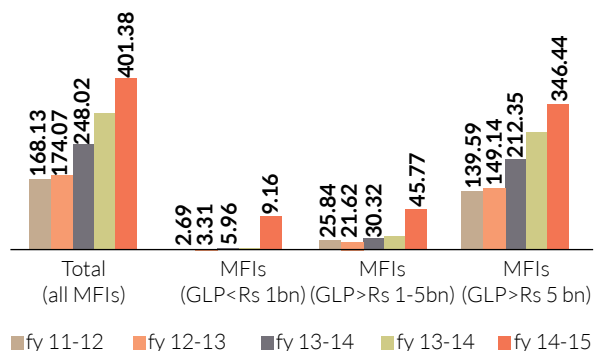
Industry Trends

An overview of the microfinance operations of NBFC MFIS demonstrates that the microfinance industry continues to play a significant role in promoting financial inclusion among low income clients in the country. Operating across the length and breadth of the country, the industry has presence in 32 states/UTs through industry network of 10,553 branches. The year 2014-15 was a transition year for Microfinance Industry both by way of registration by NBFCs as NBFC-MFIs with RBI as well as by way of expansion in regional spread by these institutions. Many of the MFIN Members now have nationwide presence. NBFC-MFIs now have fairly distributed portfolios across various regions in the country. As on 31st March 2015, 45 MFIN Members have received NBFC-MFI licenses from the RBI and the balance are under process.

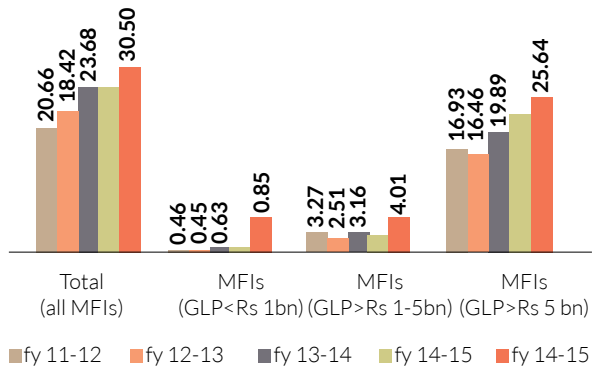
1. Gross Loan Portfolio (GLP)

The industry grew at a robust growth rate of 61 percent (GLP) in 2014-15 and the total GLP stood at Rs. 401.38 bn. Large size NBFC MFIS (GLP > 5 bn) registered the highest growth of 63 percent over FY 13-14. Large NBFC- MFIs (GLP > 5 bn) account for 86 percent of the portfolio.

Gross Loan Portfolio (Rs bn)



Clients (mn)



2. Clients

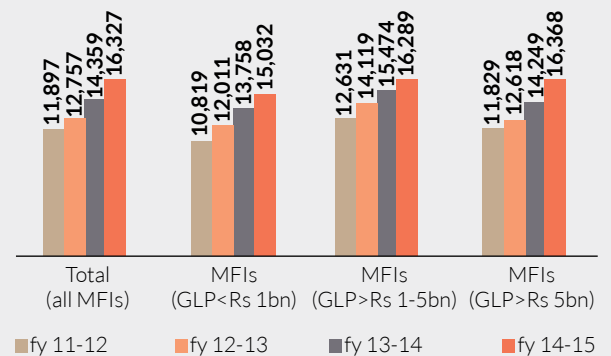
As of 31st March 2015, aggregate clients of NBFC MFIs stood at over 3 crores – which is a growth of 29 percent over FY 13-14. Small size NBFC MFIs (GLP < 1 bn) registered the highest growth of 35 percent over FY 13-14.

3. Disbursed Loans

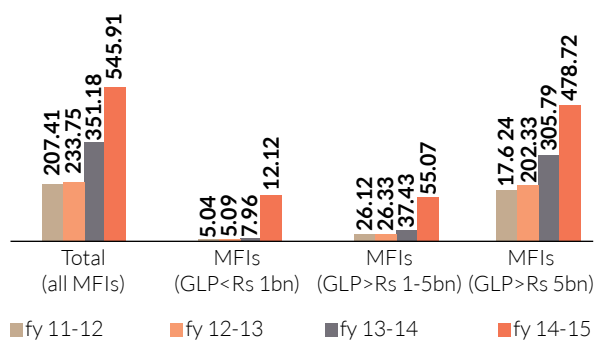
During FY 13-14, the average loan amount disbursed per account was Rs. 16,327 an increase of 14 percent over the previous fiscal year. This trend was witnessed across all categories of institutions - large, medium and small. The growth in disbursed loan size is also indicative of the higher loan size requirement by the microfinance clients to finance their enterprises. The inflation effect has also contributed to this growth.

During FY 14-15, MFIs disbursed over 33.43 mn loans worth Rs 545.91 bn. Compared to FY 13-14, number of loans disbursed grew by 37 percent and the loan amount disbursed by 55 percent.

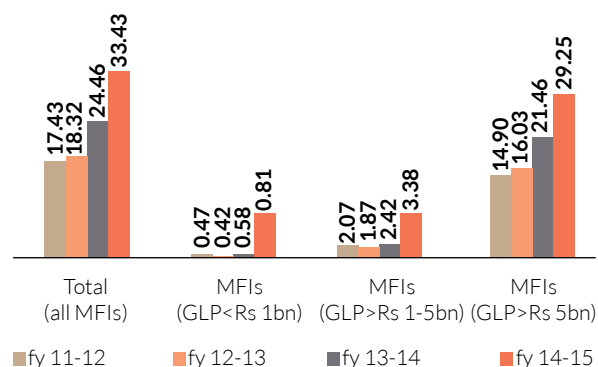
AVG Loan Amount Disbursed Per Account (annual, Rs)



Amount Disbursed (annual Rs bn)



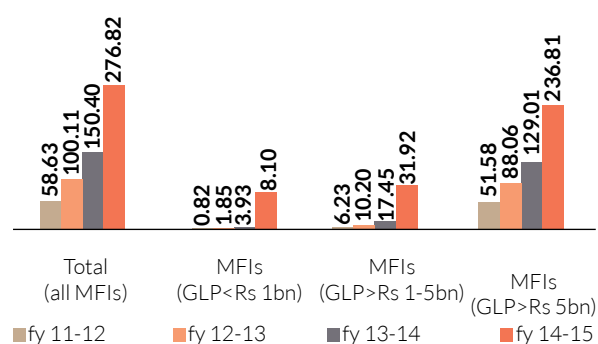
Loans Disbursed (annual, mn)



4. Industry Funding—Demonstrates confidence of funders

The annual growth rate of microfinance was backed by commercial bank funding. During FY 14-15, NBFC MFIs received total debt funding Rs. 276.82 bn, 78 percent from the banks and rest from other Financial Institutions (FIs). The corresponding figure in FY 13-14 was Rs. 150.40 bn (79 percent from the banks), showing an increase of 84 percent in FY 14-15.

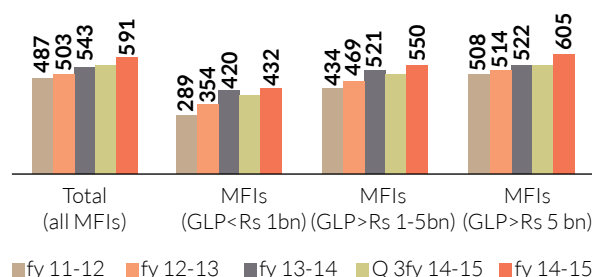
Total Debt Funding (annual, Rs bn)



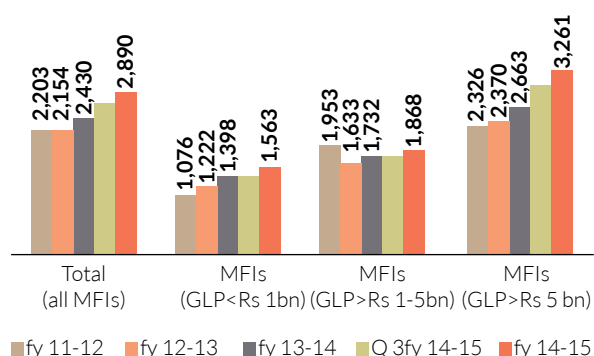
5. Productivity - Increasing

The improvement in productivity indicators is symbolic of increased operational efficiency. This year the average clients per branch for NBFC MFIs stood at 2,890, a growth of 19 percent over FY 14-15. The per branch average GLP for NBFC-MFIs exhibited a similar increasing trend, a growth of over 49 percent over FY 14-15, at a figure of Rs. 38.03 bn. The average clients per loan officer stood at 591 growth of 9 percent over FY 13-14.

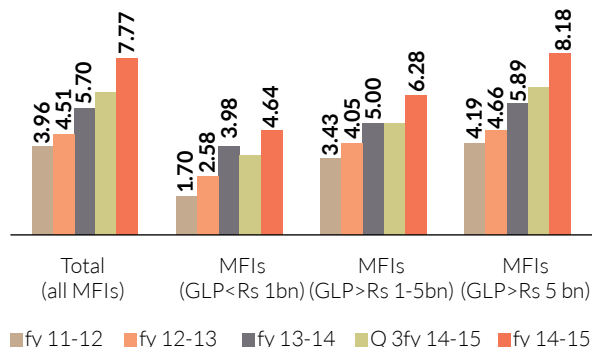
Client Per Loan Officer



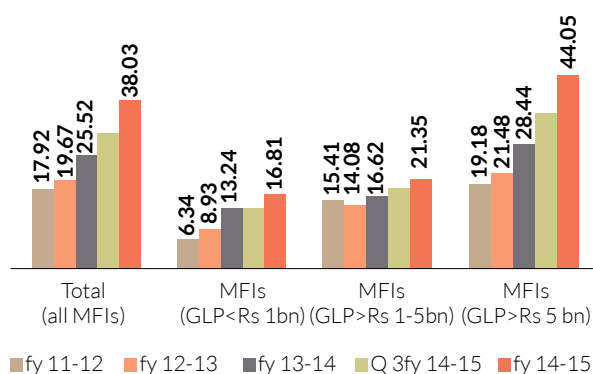
Clients Per Branch



GLP Per Loan Officer (Rs mn)

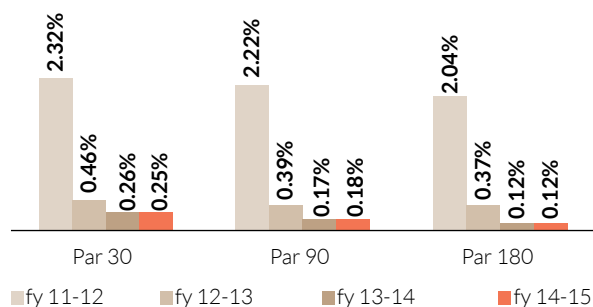


GLP Per Branch (Rs mn)



6. Portfolio Quality – Reflects quality of operations

The PAR for NBFC MFIS (other than MFIs under CDR) remained well under 1 percent of GLP reflecting indicating good portfolio quality.

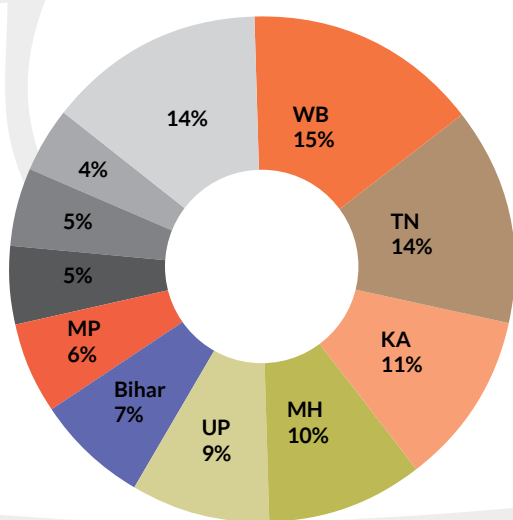


Pan – India Presence of NBFC-MFIS

Portfolio (GLP)* of MFIs is now more evenly distributed across various regions in the country. Share of south is 30 percent, east 28 percent, north 22 percent and west at 20 percent

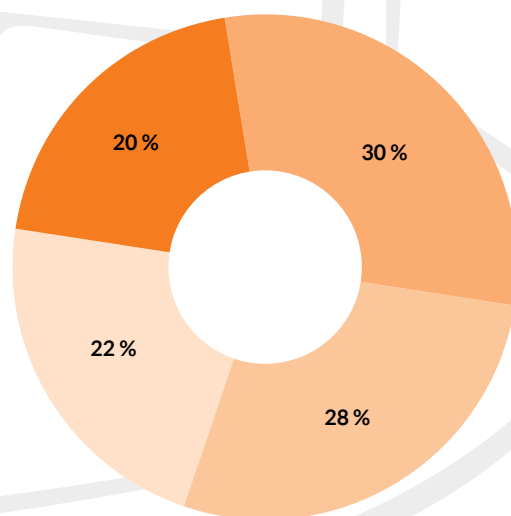
Top five top states, viz. West Bengal, Tamil Nadu, Karnataka, Maharashtra and Uttar Pradesh account for 59 percent of GLP

State wise Distribution of GLP
(31st March, 2015)



Assam Odisha KL Others

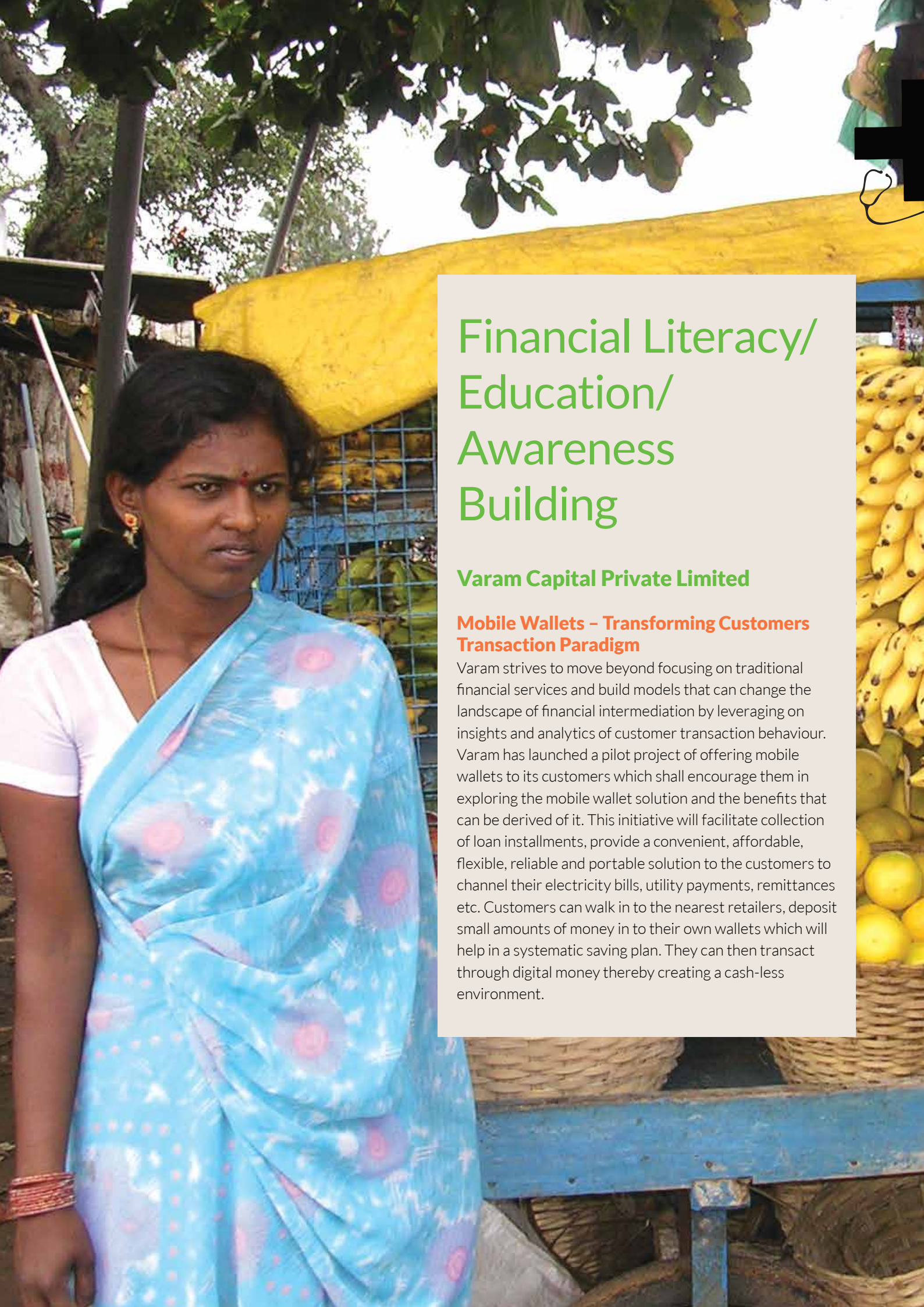
Regional Distribution of GLP
(31st March, 2015)



South East North West

Microfinance Plus





Financial Literacy/ Education/ Awareness Building

Varam Capital Private Limited

Mobile Wallets – Transforming Customers Transaction Paradigm

Varam strives to move beyond focusing on traditional financial services and build models that can change the landscape of financial intermediation by leveraging on insights and analytics of customer transaction behaviour. Varam has launched a pilot project of offering mobile wallets to its customers which shall encourage them in exploring the mobile wallet solution and the benefits that can be derived of it. This initiative will facilitate collection of loan installments, provide a convenient, affordable, flexible, reliable and portable solution to the customers to channel their electricity bills, utility payments, remittances etc. Customers can walk in to the nearest retailers, deposit small amounts of money in to their own wallets which will help in a systematic saving plan. They can then transact through digital money thereby creating a cash-less environment.



Fusion

Financial Literacy Programme

Fusion has conceptualised and formulated a 'Pictorial Kit' that is being used during Compulsory Group Training (CGT) for raising clients' awareness on financial literacy. The Pictorial Kit has 16 pages depicting different aspects on financial literacy. Some of the aspects include on money management, joint liability, proper utilisation of money earned and ill-effects of over borrowing. During the year 2014-15, more than 1, 56,624 clients were trained on financial literacy.

Annapurna

Financial Literacy Trainings

Annapurna conducted financial trainings in various branches across five states namely Odisha, Jharkhand, Madhya Pradesh, Maharashtra and Chhattisgarh. The main thrust was on awareness building for the targeted rural women on the importance of saving, insurance, life cycle need etc. It also emphasised on the perils of over indebtedness. Women were encouraged to utilise the loan for livelihood activities like dairy and agriculture. The trainings were imparted to 15,000 women.

Water and Sanitation

Adhikar **Jeevan Dhara**

The project aims at creating low cost infrastructure of water connections and toilets for the rural households. The project has been initiated since April 2012 and is implemented in the districts of Cuttack, Khurdha, Puri, Jajpur, Balangir, Bargarh, Sonepur, Kalahandi, Nawarangapur, Rayagada, Malkangir, and Koraput districts in Odisha and Surat district in Gujarat.

Adhikar has also initiated a terafil water filter to deal with the problem of contamination due to iron and lead particles. Adhikar will be targeting 5500 safe water connections and 500 toilet constructions by February 2016 with 100 percent utilisation of this products. This will ensure that at least a total of 6000 number of households will have access to safe drinking water.

Besides this, Adhikar has been actively involved in providing its clients livelihood opportunities such as dairy management, social security through pension funds and financial literacy in terms of access to savings, loans and insurance products.





Ujjivan

As part of Swachh Bharat Campaign, Ujjivan has helped school authorities in building proper toilets, water facilities and promoting sanitation in 266 Government schools across India. Approximately 1,33,224 students are using the facilities.

Muthoot

SMILE PLEASE – Mission for Free Cleft Lip Surgery to Children

Muthoot Fincorp in association with Operation Smile India - a non-profit medical charity organisation launched the 'Smile Please' campaign to create awareness and facilitate free cleft lip surgeries to children.

The Campaign which was launched in October 2014, extended comprehensive support to patients and their families by providing travel fares, food and accommodation, medicines and surgical care expenses etc. The Company has conducted 350 free surgeries in FY 2014-15.

The Muthoot Life Blood Directory initiative is dedicated to save lives. The initiative has created a platform for all who are willing to donate blood and save precious lives of fellow beings without any discriminations. The directory already has more than 1000 Members.

ASAI

Eye Check up Camps

ASAI in association with Lions International and Swayam initiated eye-check-up camps, distribution of eye spectacles, diabetes detection camps and women health camps for its clients.

Annapurna

Health Awareness Drive

Considering the importance of safe water and sanitation Annapurna Microfinance and People's Forum (NGO arm of Annapurna) together started a campaign with an objective to spread awareness among villagers about the importance of safe water and sanitation.

Information was shared with the clients on various water borne diseases and their causes, prevention and control. Participants were also encouraged for behavioural changes towards toilet usage. Post discussion, various competitions like Drawing and Quiz were organised among women and children to gauge their understanding levels on the topic discussed.

In the year 2014-15, a total of 900 health awareness camps were organised in collaboration with local governance i.e. Block, Sarpanch, Ward Members, School Management Committee benefitting approximately 11,000 women.



Livelihood Training/Skills Development

Annapurna

Skills Development

Candle Making Training: Annapurna in collaboration with People's Forum provided trainings on candle making in the Odapada Block and Hindul Road villages in Dhenkanal district of Odisha. In FY 2014-15 a total of three trainings were organised benefitting more than 100 women clients.

Mason Training for Clients: A three day mason training with an objective to enhance skills of local masons was organised. 18 local masons and 80 SHG Members participated in the training. The training specifically targeted toilet construction keeping in mind the mandate of the Swachh Bharat Abhiyan.

Go Green

ASAI International

Solar Lights to encourage green energy

ASAI International, jointly with Deloitte and Swayam gifted Deloitte solar lamps to girl students. Twenty such lights were gifted during the event. The lamps run on solar charge back-up power of eight hours.

Awards and Recognition

Annapurna

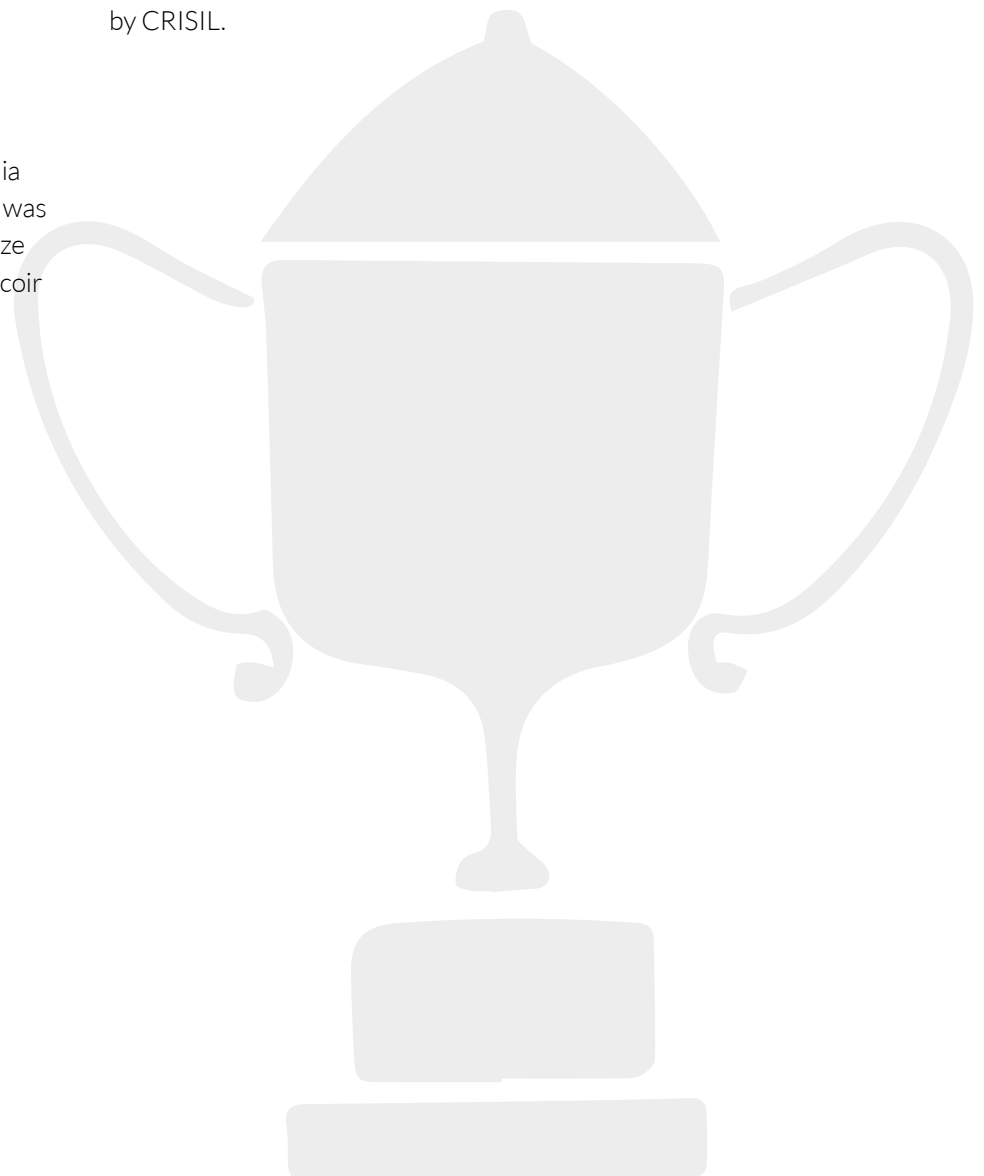
Awarded The NCEPD Mphasis Universal Design Awards 2014: Annapurna was awarded under Category C-Companies/organisation for its outstanding work in enabling inclusive microfinance for disabled.

Rising to Dignity Award 2015: On the occasion of Anti Leprosy Day 2015, Annapurna's Baba Raghunath SHG of Khurda district received the "Rising to Dignity Award 2015" of Sasa kawa India Leprosy Foundation (SILF). The group was presented with a trophy and a cash prize of Rs.100,000. The SHG runs its own coir rope production unit.

Fusion

Fusion received 'Best MFI of the Year 2014 Award' at 'Microfinance India Awards 2014' instituted by ACCESS.

Fusion is featured in the list of India's 25 leading MFIs published by CRISIL.



ESAF Microfinance

ESAF Microfinance was one among the three finalists shortlisted for European Microfinance Award 2014. Award received on 13th November 2014 at Luxembourg. The finalists were selected based on their efforts in contributing directly to improving the lives of the clients. ESAF's clean energy for the poor initiative proved a decisive factor in the achievement.

The European Microfinance Award was launched in 2005 by the Luxembourg Ministry of Foreign and European Affairs – Directorate for Development Co-operation and Humanitarian Affairs.



**AUDITORS' REPORT TO THE GOVERNING BOARD OF
MICRO FINANCE INSTITUTIONS NETWORK [MFIN]**

(A Society registered under Andhra Pradesh Societies Registration Act, 2001)

We have audited the accompanying financial statements of '**Micro Finance Institutions Network [MFIN]**' (herein after 'the Society') which comprise the Balance Sheet as at March 31, 2015, and the Income and Expenditure account for the year ended, and Cash flow statements for the year ended, and a summary of significant accounting policies and other explanatory information.

Management Responsibility for the Financial Statements

Management is responsible for the preparation of these financial statements in accordance with Andhra Pradesh Society Registration Act. This responsibility includes the design, implementation and maintenance of internal control relevant to the preparation of the financial statements that are free from material misstatement, whether due to fraud or error.

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with the Standards on Auditing issued by the Institute of Chartered Accountants of India (ICAI). Those Standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement. An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error.

Auditor's Responsibility

In making those risk assessments, the auditor considers internal control relevant to the Society's preparation and fair presentation of the financial statements in order to design audit procedures that are appropriate in the circumstances. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of the accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

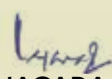
Opinion

In our opinion and to the best of our information and according to the explanations given to us, the accounts, the financial statement give a true and fair view in conformity with the accounting principles generally accepted in India:

- i. In the case of the Balance Sheet, of the state of affairs of the Society as at March 31, 2015 and; ii. In the case of the Income and Expenditure account, of the excess of Income over Expenditure for the year ended on that date.
- iii. In the case of Cash Flow Statement, Cash flows Statements of the Society for the year ended.

For **V. NAGARAJAN & CO.,**

Chartered Accountants


V. NAGARAJAN
Partner

Gurgaon | May 21st, 2015

ICAI Firm Reg No: 04879 N | M. No.: 019959

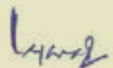
Audited Financial Statements

Amount in R s .

Balance Sheet as at		31-Mar-15	31-Mar-14
	Note No.		
I. SOURCES OF FUNDS			
Corpus Fund - General	1	208,23,240	508,23,240
Corpus Fund - SRO	2	300,00,000	-
Reserves and surplus	3	240,17,289	226,59,172
Total		748,40,529	734,82,415
II. APPLICATION OF FUNDS			
Fixed assets	4		
Gross block		45,88,005	31,76,196
Less: Accumulated depreciation		20,92,437	16,87,774
Net block		24,95,568	14,88,422
Investments (Un-quoted)	5	104,52,002	95,56,021
Current assets, loans and advances			
a) Cash and bank balances	6	685,61,129	598,85,966
b) Loans and advances	7	20,81,436	44,68,278
Total [A]		706,42,565	643,54,244
Less: Current liabilities and provisions	8	87,49,606	19,16,280
Total [B]		87,49,606	19,16,280
Net Current assets [A-B]		618,92,959	624,37,965
Total		748,40,529	734,82,415
Significant Accounting Policies and Notes on Accounts	11		

See accompanying notes referred to above form an integral part of these financial statements.

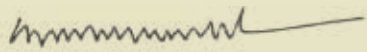
As per our report of even date
for **V. NAGARAJAN & Co.,**
Chartered Accountants


(V. NAGARAJAN)

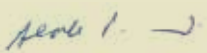
Partner

ICAI Firm Regn No: 04879 N / M. No.: 019959

for and on behalf of Board Members of
MICRO FINANCE INSTITUTIONS NETWORK


Samit Ghosh

(President)


Alok Prasad
(Chief Executive Officer)


V.S. Radha Krishnan
(Vice President)

May 21st, 2015 | Gurgaon

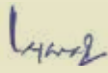
Audited Financial Statements

Amount in Rs.

Balance Sheet as at		For the Year Ended March 31, 2015	For the Year Ended March 31, 2014
	Note/Group No.		
REVENUE :			
Initial subscription fees		8,08,000	7,07,000
Membership renewal fees		3,20,000	3,70,000
Annual subscription fees (includes TDS: Rs. 2,04,283/-)		503,41,613	375,61,928
Initial subscription fees (Associateship fee)		3,06,000	-
Annual subscription fees (Associateship fee)		31,75,000	-
Total		549,50,613	386,38,928
Other income			
Income from Investments in Fixed Deposit's (TDS : Rs. 5,21,986/- Previous year Rs. 4,84,324/-)	G-9	52,19,856	48,43,242
Income from Investments in Mutual Funds		8,95,981	5,56,021
Total		610,66,450	440,38,191
EXPENDITURE :			
Human Resource cost	9	236,06,498	152,28,799
Professional/Consulting Fees	10	86,26,256	89,03,325
Travel/Conveyance expenses	G-19	57,74,473	30,37,900
Advocacy/Communication charges	G-18	51,01,537	74,29,969
Conference, Board Meeting etc.	G-20	49,38,516	23,27,076
Co-Sponsorship of special study with IFC	G-12	36,52,694	8,55,375
Administrative expenses	11	56,77,303	35,63,687
Depreciation on fixed assets	4	6,81,057	4,82,927
Total		580,58,334	418,29,059
Investments (Un-quoted)		104,52,002	95,56,021
Net Surplus before Provision for Income Tax		30,08,116	22,09,133
Less: Provision for Income Tax			
Current Year Income Tax		16,50,000	15,10,000
Net Surplus		13,58,116	6,99,133
APPROPRIATION:			
Transfer to corpus fund		-	-
Surplus transferred to Reserve and Surplus		618,92,959	624,37,965
Significant Accounting Policies and Notes on Accounts	11		

See accompanying notes referred to above form an integral part of these financial statements.

As per our report of even date
for **V. NAGARAJAN & Co.,**
Chartered Accountants

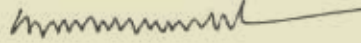

(V. NAGARAJAN)

Partner

ICAI Firm Regn No: 04879 N / M. No.: 019959

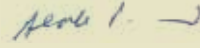
May 21st, 2015 | Gurgaon

for and on behalf of Board Members of
MICRO FINANCE INSTITUTIONS NETWORK



Samit Ghosh

(President)



Alok Prasad

(Chief Executive Officer)



V.S. Radha Krishnan

(Vice President)

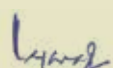
Audited Financial Statements for the year Ended March 31, 2015

Audited Financial Statements

Amount in Rs.

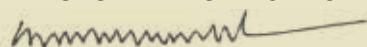
Cash Flow Statement	For the Year Ended March 31, 2015	For the Year Ended March 31, 2014
(A) Cash Flow from Operating Activities		
Cash receipts from Members against:-		
Initial subscription fees	8,08,000	6,97,000
Initial subscription fees (Associate)	3,06,000	-
Renewal fees	3,20,000	3,70,000
Annual Subscription fees	504,62,330	3,70,000
Annual Subscription fees (Associates Fees)	26,75,000	-
Legal Cost	-	41,25,000
Payment made towards:-		
Human resource Cost	(214,30,943)	(152,28,799)
Professional/Consulting Fees	(56,24,113)	(61,01,067)
Travel/Conveyance expenses	(52,42,519)	(30,37,900)
Advocacy/Communication charges	(51,01,537)	(74,29,969)
Conference, Board Meeting, etc.	(43,29,516)	(23,27,076)
Co-Sponsorship of Special Study with IFC	(5,23,154)	(8,55,375)
Administrative expenses	(48,15,326)	(37,27,486)
Special Legal Fees/Lawyer Fees	-	(28,02,258)
Income Tax Paid (Advance Tax)	(10,48,000)	(10,10,000)
Cash flow before extraordinary item	64,56,222	(7,74,337)
Cash flow before extraordinary item	-	-
Net Cash flow from Operating Activities (A)	64,56,222	(7,74,337)
(B) Cash Flow from Investing Activities:		
Purchase of Fixed Assets	(19,26,780)	(1,63,740)
Interest/Dividend earned on Investments	35,93,477	32,43,438
Investments:		
in HDFC Mutual Funds	-	(90,00,000)
in HDFC Fixed Deposits (Net of Matured)	(135,00,000)	90,00,000
Net Cash flow from Investing Activities (B)	(118,33,302)	30,79,698
(C) Cash Flow from Financing Activities:		
	-	-
Net cash flow from Financing Activities (C)	-	-
Net Increase or Decrease in Cash or Cash equivalents (A)+(B)+(C)	(53,77,080)	23,05,361
Add: Opening Cash and Cash equivalents (HDFC Bank Balance as on March 31)	54,15,845	31,10,484
Closing Cash and Cash Equivalents (as per Note 6)	38,769	54,15,845

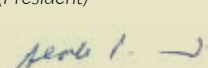
As per our report of even date
for **V. NAGARAJAN & Co.,**
Chartered Accountants


(V. NAGARAJAN)
Partner

ICAI Firm Regn No: 04879 N / M. No.: 019959

for and on behalf of Board Members of
MICRO FINANCE INSTITUTIONS NETWORK


Samit Ghosh
(President)


Alok Prasad
(Chief Executive Officer)


V.S. Radha Krishnan
(Vice President)

May 21st, 2015 | Gurgaon

Audited Financial Statements for the year Ended March 31, 2015

Audited Financial Statements

Amount in R s .

Notes to Audited Financial Statements	For the Year Ended March 31, 2015	For the Year Ended March 31, 2014
Grouping No.		
NOTE 1: CORPUS FUND - GENERAL		
Cash receipts from Members against:-		
Opening balance	508,23,240	508,23,240
Less: Transfer to SRO Fund	(300,00,000)	-
Closing Balance	208,23,240	508,23,240
NOTE 2: CORPUS FUND - SRO		
Opening balance	-	-
Additions during the year	300,00,000	-
Closing Balance	300,00,000	
NOTE 3: RESERVES AND SURPLUS		
Income and Expenditure Account		
Opening balance	226,59,172	219,60,039
Add: Surplus transferred from Income & Expenditure A/c	13,58,116	6,99,133
Total	240,17,289	226,59,172
NOTE 5: INVESTMENTS (UN-QUOTED)		
Investments:		
in HDFC Mutual Fund including dividend accrued	104,52,002	95,56,021
	104,52,002	95,56,021
NOTE 6: CASH AND BANK BALANCES		
Cash In Hand		
Balance with Scheduled banks		
- HDFC Bank	G-1 38,769	54,15,846
Fixed Deposits with HDFC Bank	G-2 660,00,000	525,00,000
Add: Interest accrued on fixed deposits	G-2 25,22,360	19,70,121
Total	685,61,129	598,85,966
NOTE 7: LOANS AND ADVANCES		
TDS recoverable	7,26,268	4,94,324
Security deposit against Rent	G-5 4,11,060	6,36,619
Prepaid expenses	3,77,990	43,713
Supreme Court Fees Receivables	-	3,75,000
Advance to vendors in cash or in kind	G-6 10,170	18,98,147
Membership Renewal fee receivable	G-7 -	10,000
Income Tax Refundable	5,948	2,142
Annual subscriptions receivable	G-8 50,000	10,08,333
Annual Associate Fees	G-8 5,00,000	-
Total	20,81,436	44,68,278

NOTE 8: CURRENT LIABILITIES AND PROVISIONS

A. Current Liabilities

Trade Payable	G-3	48,77,350	-
Tax Deduction at sources Payables		4,67,663	4,47,190
Service Tax Payables		3,08,258	3,08,258
Other Payables	G-4	24,80,897	6,60,832
Total (A)		81,34,167	14,16,280

B. Provisions

Provision for Tax (Net of Advance Tax):		6,15,439	5,00,000
Total [B]		6,15,439	5,00,000
Total [A+B]		87,49,606	19,16,280

Audited Financial Statements for the year Ended March 31, 2015

Audited Financial Statements

Amount in Rs.

Notes to Audited Financial Statements	For the Year Ended March 31, 2015	For the Year Ended March 31, 2014
---------------------------------------	--------------------------------------	--------------------------------------

NOTE 9: HUMAN RESOURCE COST

Salary, Bonus and Allowance to employees	G-10	218,53,917	148,07,856
Provision for leave encashment		3,90,214	-
Provision for gratuity		7,13,138	-
Insurance reimbursement		3,16,935	2,67,159
HR Studies/Employee Training expenses		3,32,294	1,53,784
Total		236,06,498	152,28,799

NOTE 10: PROFESSIONAL/CONSULTING FEES

Consultancy Fees to facilitators	G-14	38,40,000	29,40,000
Professional charges Special projects	G-15	33,74,104	20,05,795
Accounting services Charges		7,24,725	6,74,160
Professional charges- others		6,87,427	9,62,742
Total		86,26,256	65,82,697

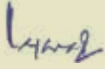
NOTE 11: ADMINISTRATIVE EXPENSES

Office Rent	G-16	17,47,528	17,07,592
Annual Report/Other Publications		12,20,464	3,36,261
Communication Expenses	G-11	7,82,351	6,66,334
General Office Expenses		4,52,597	2,17,177
Repairs and maintenance	G-12	4,53,830	1,79,906
Miscellaneous Expenses	G-17	3,78,268	1,93,965
Office maintainance	G-13	3,08,571	1,50,092
Statutory Audit Fee		1,57,304	1,12,360
Commission on rent		1,39,326	-
Membership fee		37,064	-
Total		56,77,303	35,63,687

As per our report of even date

for **V. NAGARAJAN & Co.,**

Chartered Accountants

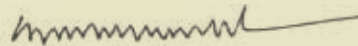

(V. NAGARAJAN)

Partner

ICAI Firm Regn No; 04879 N / M. No.: 019959

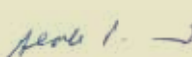
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MICRO FINANCE INSTITUTIONS NETWORK



Samit Ghosh

(President)



Alok Prasad

(Chief Executive Officer)



V.S. Radha Krishnan

(Vice President)

May 21st, 2015 | Gurgaon

Notes to Audited Financial Statements as at March 31, 2015

NOTE 4: FIXED ASSETS

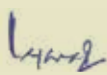
Amount in Rs.

Description	Gross block				Depreciation				Net block	
	As on April 01, 2014	Additions	Deductions	As on March 31, 2015	As on April 01, 2014	For the Year	Ded/Adj. during the Year	As on March 31, 2015	As on March 31, 2015	As on March 31, 2014
A. Tangible ssets										
Furnitures and Fixtures	914,184	1,466,114	457,092	1,923,206	457,860	298,970	228,930	527,900	1,395,306	456,324
Computers	601,041	394,263	57,879	937,425	326,838	176,353	47,464	455,727	481,698	274,203
Office Equipment	7,200	63,103	-	70,303	2,817	9,541	-	12,358	57,945	4,383
Vehicle	1,609,293	-	-	1,609,293	863,350	193,125	-	1,056,475	552,819	745,944
TOTAL [A]	3,131,718	1,923,480	514,971	4,540,227	1,650,865	677,989	276,394	2,052,460	2,487,768	1,480,854
B. Intangible assets										
Software [B]	44,478	3,300	-	47,778	36,909	3,068	-	39,977	7,802	7,570
TOTAL [A+B]	3,176,196	1,926,780	514,971	4,588,005	1,687,774	681,057	276,394	2,092,437	2,495,570	1,488,424

As per our report of even date

for **V. NAGARAJAN & Co.,**

Chartered Accountants

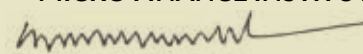

(V. NAGARAJAN)

Partner

ICAI Firm Regn No; 04879 N / M. No.: 019959

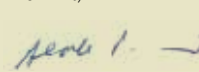
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Samit Ghosh

(President)

Alok Prasad

(Chief Executive Officer)

V.S. Radha Krishnan

(Vice President)

May 21st, 2015 | Gurgaon

Audited Financial Statements for the year Ended March 31, 2015

NOTE 11 : SIGNIFICANT ACCOUNTING POLICIES AND NOTES ON ACCOUNTS FOR THE YEAR ENDED MARCH 31, 2015

A) SIGNIFICANT ACCOUNTING POLICIES:

1) Basis of preparation of financial statements:

The Financial statements have been prepared to comply in all material respects of the accounting standards issued by the Institute of Chartered Accountants of India [ICAI]. The Statements have been prepared under the historical cost convention and on accrual basis, except stated otherwise. The accountings policies have been consistently applied by the society and except for the changes in accounting policy discussed more fully below, and are consistent with those used in the previous year.

2) Use of estimates :

The preparation of financial statements requires management to make certain estimates and assumptions that effects the amounts reported in the financial statements and notes there to. Difference between the actual and estimates are recognized in the period they materialize.

3) Cash flow reporting:

Cash flow statement has been prepared in accordance with AS-3 "Cash Flow Statement" issued by The Institute of Chartered Accountants of India (ICAI), under direct method.

4) Revenue recognition:

The main income of the society is from member's contribution and membership fee.

- 4.1 Member's annual contribution is recognized on accrual basis and as per Society's bye laws. An amount as decided by the Board of Governing members from time to time is transferred to corpus fund and balance is recognized as income for meeting operating expenses of the Society.
- 4.2 Admission fee and initial subscription are directly recognized as income of the society when they are receivable.
- 4.3 Interest income on fixed deposits with banks is recognized on the basis of proportionate lapse of time as applied to the amount outstanding and rate applicable.
- 4.4 Dividend income is recognized when the right to receive payment is established by the balance sheet date.

5) Fixed assets:

- 5.1 All fixed assets have been shown at cost less accumulated depreciation. The cost comprises of purchase price and all incidental costs related to acquisition and installation.
- 5.2 Depreciation has been provided on assets based on written down value method at the rates appropriate for the useful life of the assets.

6) Valuation of Investments:

- 6.1 All investments are held at cost and are valued at market price or cost, whichever is lower. Any diminution in value in respect of all investments, other than long term investments (which are held to maturity or withdrawn before maturity), are provided in the accounts, while appreciation is accounted for when realized.

7) Provision and contingent liabilities :

- 7.1 Society creates a provision where there is a present obligation as a result of past event that probably requires an outflow of resources and reliable estimate can be made of the amount of obligation. A disclosure of contingent liability is made, when there is a possible obligation or a present obligation that will probably not require outflow of resources or where reliable estimate of the obligation cannot be made.

B) NOTES TO ACCOUNTS:

1) NOTE ON THE ACTIVITIES OF THE SOCIETY AND MUTUALITY:

- 1.1 Micro Finance Institutions Network [MFIN] is a Society, registered on December 14, 2009 under the Society Registration Act, 2001 at Hyderabad, Andhra Pradesh. During the year, Society have received recognition as "Self- Regulatory Organization" (SRO) for NBFC's from Reserve Bank of India (RBI) vide letter dated: June 16, 2014.
- 1.2 The total number of members, mainly Non-Banking Finance Companies, as on March 31, 2015 are 33, in addition the society has 14 institutions joined as Associates. On account of 8 institution's (NBFC) not receiving RBI's registration as NBFC- MFI's have had their membership moved to the Associate membership category.
- 1.3 The primary activities and objectives of the society are to liaise and work in unison with the relevant regulatory authorities regulating the business of microfinance, to promote microfinance and develop best practices, conduct research and training so as to strengthen the capacity of institutions engaged in microfinance, who are members of the society.
- 1.4 The society has not received any contribution by way of grant or otherwise from any person/entity other than by way of subscription/contribution from its members. The society, being a Trade Association, is operating under the "Principle of Mutuality" and as a Mutual Benefit Institution. In view of the above, the society has not sought any registration u/s 12A of the Income tax Act, 1961 and no tax liability is anticipated on account of this. However, in respect of other taxable income, appropriate provision for taxation has been made and is compliant with the provisions of law.

2) DETAILS OF HUMAN RESOURCE COST :

Amount in Rs.		
Particulars as on	31-Mar-15	31-Mar-14
Managerial Remuneration including allowances and benefits		
Chief Executive Officer	70,00,000	65,75,001
Deputy Chief Executive Officer	40,00,000	9,03,225
Employees Cost [Others]	1,26,06,498	77,50,573
Total	2,36,06,948	1,52,28,799

3) DETAILS OF AUDITOR'S REMUNERATION:

Amount in Rs.		
Particulars as on	31-Mar-15	31-Mar-14
Statutory Audit Fee	1,40,000	1,00,000
Applicable Service Tax	17,304	12,360
Total	1,57,304	1,12,360

4) LOANS AND ADVANCES - MEMBERSHIP RELATED:

Includes :

Receivable of Rs. 5,50,000 from two their member against annual subscription fees, in which includes Rs. 5,00,000 towards Associate membership fees and Rs. 50,000 as normal membership fees from their members.

Excludes:

A sum of Rs. 10,000 for renewal fees is receivable from their one members (since ceased to be as membership category) relating to previous year and written off during the year.

5) Transfer to Self-Regulatory Organisation [SRO] Fund:

During the year, Rs. 3,00,00,000 has been transferred to Corpus-SRO (Self-Regulatory Organisation) Fund, from the existing Corpus Fund, as per the decision of governing board members in the board meeting held as on January 20th, 2014

6) Human Resource Cost includes:

- Rs. 390,214 being Provision for Leave encashment to employees as per the Contract with employees and;
- Rs. 7,13,138 being the provision to meet the gratuity liability to the employees as per decision of the Governing Board. The provision has been made as per the actuarial valuation provided by Life Insurance Corporation of India, to create a Trust for meeting the liabilities and to be administered by its Group Gratuity Scheme, with effect from 1.4.2015.

7) Corresponding figures of the previous year have been regrouped wherever necessary to make them comparable with the figures of the current year.

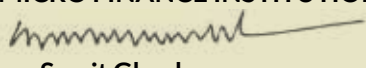
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Chartered Accountants


(V. NAGARAJAN)

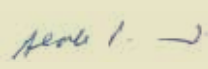
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Samit Ghosh

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Alok Prasad
(Chief Executive Officer)

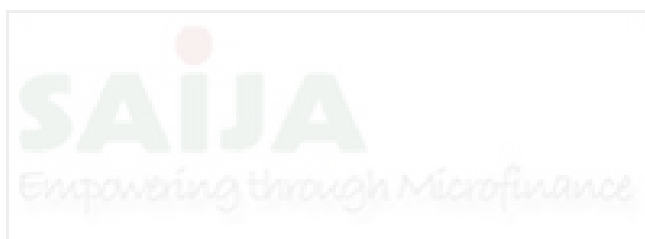

V.S. Radha Krishnan
(Vice President)

May 21st, 2015 | Gurgaon

Audited Financial Statements for the year Ended March 31, 2015

List of Members

Sl no	Institution Members	Sl no	Institution Members
1	Adhikar Microfinance Pvt Ltd	24	Namra Finance Ltd
2	Agora Microfinance India Ltd	25	Navachetana Microfin Services Pvt Ltd
3	Annapurna Microfinance Pvt Ltd	26	Nirantara FinAccess Pvt Ltd
4	Apex Abishek Pvt Ltd	27	Pahal Financial Services Pvt Ltd
5	Arohan Financial Services Pvt Ltd	28	RGVN (North East) Microfinance Ltd
6	Asirvad Microfinance Pvt Ltd	29	S V Creditline Pvt Ltd
7	Bandhan Financial Services Pvt Ltd	30	Sahyog Microfinance Ltd
8	Belstar Investment and Finance Pvt Ltd	31	Saija Finance Pvt Ltd
9	BSS Microfinance Pvt Ltd	32	Samasta Microfinance Ltd
10	Chaitanya India Fin Credit Pvt Ltd	33	Sambandh Finserve Pvt Ltd
11	Disha Microfin Pvt Ltd	34	Satin Creditcare Network Ltd
12	Equitas Micro Finance India Pvt Ltd	35	Shikhar Microfinance Pvt Ltd
13	ESAF Microfinance and Investments Pvt Ltd	36	SKS Microfinance Ltd
14	Fusion Microfinance Pvt Ltd	37	Sonata Finance Pvt Ltd
15	Future Financial Services Ltd	38	Spandana Sphoorty Financial Ltd
16	Grama Vidiyal Microfinance Ltd	39	Suryoday Micro Finance Pvt Ltd
17	Grameen Financial Services Pvt Ltd	40	Svatantra Microfin Pvt Ltd
18	IDF Financial Services Pvt Ltd	41	Swadhaar FinServe Pvt Ltd
19	Jagran Microfin Private Ltd	42	Ujjivan Financial Services Ltd
20	Janalakshmi Financial Services Pvt Ltd	43	Utkarsh Micro Finance Pvt Ltd
21	Madura Micro Finance Ltd	44	Varam Capital Pvt Ltd
22	Margdarshak Financial Services Ltd	45	Village Financial Services Pvt Ltd
23	Muthoot Microfin Ltd		



Annexure 2

Board Attendance

Total 9

Meetings 5

Concalls 4

			1	2	3	4	5	6	7	8	9			
Sl no	Board member		Meeting	Concall	Concall	Meeting	Concall	Meeting	Concall	Meeting	Meeting	Present	Absent	Attendance
			8th July, 2015 Bangalore	7th Aug, 2014	25th Aug, 2014	18th Oct, 2015	7th Jan, 2014	24th Jan, 2015	16th March 2015	16th Apr, 2015	30th Apr, 2015	(P)	(A)	
						Gurgaon		Kochin		Gurgaon	Bangalore			
1	Samit Ghosh	President	P	P	P	P	P	P	P	P	P	9	0	100%
2	V.S Radhakrishn	Vice President	P	A	A	P	P	P	P	P	P	7	2	78%
3	Anand Rao	Director	P	A	P	P	P	P	P	P	P	8	1	89%
4	K. Paul Thomas	Director	P	A	P	P	P	P	P	P	P	8	1	89%
5	Manoj K. Nambiar	Director	P	P	P	P	P	A	P	P	P	8	1	89%
6	R. Baskar Babu	Director	P	P	P	P	A	P	P	P	P	8	1	89%
7	Suresh Krishna	Director	P	P	P	P	P	P	P	P	P	9	0	100%
8	N.K Maini*	Director			A	P	A	A	A	P	P	3	4	43%
9	Rajat Kathuria	Director	A	P	A	A	P	P	P	P	A	5	4	56%
10	Sanjay Sinha	Director	A	A	A	P	P	P	P	A	P	5	4	56%
11	Vinay Bajjal	Director	P	P	A	P	A	P	P	P	P	7	2	78%

Abbreviations

AGM	Annual General Meeting
AKMI	Association of Karnataka Microfinance Institutions
AP	Andhra Pradesh
APR	Annual Percentage Rate
BC	Business Correspondent
BCSBI	Banking Codes and Standards Board of India
CAB	College of Agricultural Banking
CB	Credit Bureau
CBDT	Central Board of Direct Taxes
CBEC	Central Board of Excise and Customs
CDR	Corporate Debt Restructuring
CEO	Chief Executive Officer
CFO	Chief Financial Officer
CGM	Chief General Manager
CII	Confederation of Indian Industry
CMD	Chairman and Managing Director
CoC	Code of Conduct
COO	Chief Operating Officer
Cr	Crore
CRAR	Capital to Risk-Weighted Assets Ratio
DBOD	Department of Banking Operations and Development
DFI	Development Finance Institutions
DFID	Department for International Development
DFS	Department of Financial Services
DNBS	Department of Non Banking Supervision
EC	Enforcement Committee
ED	Executive Director
FICCI	Federation of Indian Chambers of Commerce and Industry
FPC	Fair Practices Code
FY	Financial Year
GIZ	German Development Cooperation
GLP	Gross Loan Portfolio
GoI	Government of India
IBA	Indian Banks' Association
ICRIER	Indian Council for Research on International Economic Relations
IFC	International Finance Corporation
IIM	Indian Institute of Management
IRDA	Insurance Regulatory Development Authority

IT	Income Tax
JLG	Joint Liability Group
KAMFI	Kerala Association of Microfinance Institutions
LIC	Life Insurance Corporation
M-CRIL	Micro Credit Ratings International Limited
MD	Managing Director
MFI	Micro Finance Institutions
MFIN	Micro Finance Institutions Network
MFT	Microfinance Transparency
MIS	Management Information System
MIX	Microfinance Information Exchange
Mn	Million
MoF	Ministry of Finance
NABARD	National Bank for Agriculture and Rural Development
NBFC-MFI	Non Banking Finance Company - Micro finance Institutions
NCD	Non Convertible Debentures
NGO	Non Governmental Organisation
NOF	Net Owned Funds
NPA	Non Performing Assets
PAR	Portfolio at Risk
PFRDA	Pension Fund Regulatory and Development Authority
PSB	Public Sector Banks
PSIG	Poorest States Inclusive Growth Programme
RBI	Reserve Bank of India
RRBs	Regional Rural Banks
SCB	Scheduled Cooperative Banks
SEBI	Securities and Exchange Board of India
SHG	Self Help Group
SIDBI	Small Industries Development Bank of India
SLBC	State Level Bankers' Committee
SPTF	Social Performance Task Force
SRO	Self-Regulatory Organisation
TRAI	Telecom and Regulatory Authority of India
TSP	Technical Service Provider
UIDAI	Unique Identification Authority of India
VP	Vice President



MICROFINANCE INSTITUTIONS NETWORK

Micro Finance Institutions Network (MFIN)

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